CONDENSED TRAINING EDITION · MICROSOFT 365 COPILOT HANDS-ON EXERCISE

PETRONAS — Integrated Report 2025

Condensed training edition

This file contains **selected sections** of the original *PETRONAS Integrated Report 2025*, reproduced unchanged for a Copilot training exercise (strategic comparison of upstream oil & gas, downstream & refining, LNG / gas, and renewables / new energy). Sections not needed for the exercise (e.g. governance, remuneration, detailed risk factors, sustainability data tables, full notes to the financial statements, legal and glossary pages) have been omitted, and images have been compressed. It is not a complete or official version of the report — refer to the original publication for the full text.

Page references. The original interactive PDF is laid out as two-page spreads, so each page after the cover shows two printed pages. Every page carries a small grey footer “PETRONAS IR2025 · original pages N–N+1”, using the page numbers **printed** on the original spread (printed pages 2N–4 and 2N–3 sit on original PDF page N). Original PDF page positions are shown in [brackets] below. When citing, use the original page number from the footer, not the page position in this file.

Section included	Original printed pages [PDF page]	Pages in this file
Front cover	front cover [1]	2
We Are Passionate About Progress — PETRONAS at a glance	6–7 [5]	3
PETRONAS Energy Solutions (integrated value chain)	8–9 [6]	4
2025 Key Highlights	10–11 [7]	5
Chairman’s Letter	12–13 [8]	6
President and Group CEO’s Letter	14–15 [9]	7
PETRONAS Energy Transition Strategy (Core Business, New Business, targets)	16–19 [10–11]	8–9
Value Creation Model	20–21 [12]	10
Our Operating Landscape (market outlook)	22–25 [13–14]	11–12
Delivering Our Strategy — Core Business: Upstream, Gas & Maritime (LNG), Downstream	52–65 [28–34]	13–19
Delivering Our Strategy — New Business: renewables, power, hydrogen, CCS, bio-based & lower-carbon solutions	66–81 [35–42]	20–27
Delivering Our Strategy — Net Zero Carbon Emissions pathway	82–83 [43]	28
Group Financial Results and Position (income statement, revenue, segment results, financial position, cash flow, capital investment, multi-year summary)	206–219 [105–111]	29–35

Original document: 1b_PETRONAS_IR25_Interactive.pdf (118 PDF pages). This edition: 34 selected pages + this cover. Text on the original pages remains selectable and searchable. Interactive elements of the original (navigation buttons, hyperlinks, form widgets and layers) have been removed.

PETRONAS

Shaping the Next Era of Energy

Integrated Report 2025



We Are Passionate About Progress

Petroliam Nasional Berhad (PETRONAS) is a global integrated energy company committed to serving the world's energy and solutions needs safely, reliably and sustainably.

Ranked 1st
Most Valuable Oil and Gas Brand in ASEAN*

Top 5
Strongest Global Oil and Gas Brand*

Ranked Highest
ASEAN Brand for Sustainability Perceptions Value**

Ranked 194th
The only Malaysian company on the Fortune Global 500®

** Brand Finance® Global 500 Report.*

*** Brand Finance Sustainability Perceptions Index 2025 Report.*

Established in 1974 as Malaysia's national oil and gas company, we balance our responsibility to support national energy security with our role as a global energy and solutions partner.

We continue to expand our portfolio of conventional hydrocarbon products and other energy offerings, alongside a diverse range of fuels, lubricants, chemical products and emerging energy solutions, to meet evolving customer needs amid rising energy demand and the global energy transition.

As we navigate the energy transition, we aim to strengthen our portfolio in line with our aspiration to be a trusted energy partner while advancing sustainable practices across our operations.

Operations in over **100 countries** across **five continents**



Our Operations:

1. Asia Pacific
2. Central Asia
3. Middle East
4. Europe
5. Africa
6. North America
7. Latin America and the Caribbean

Malaysia Petroleum Management

Malaysia Petroleum Management oversees the management and development of Malaysia's oil and gas resources, and the upstream petroleum industry as entrusted under the Petroleum Development Act 1974. We provide stewardship in building a robust and sustainable oil and gas ecosystem.

Our focus is on shaping Malaysia's upstream industry into a thriving investment destination by cultivating a competitive and conducive environment, while ensuring optimum production through prudent and safe practices.

Upstream

The Upstream business explores, develops and produces oil and gas resources, with assets across Malaysia and 20 other countries. We are committed to maximising shareholder value through continuous portfolio high-grading and the delivery of advantaged barrels, defined by operational safety, lower cost and higher-margin production.

Sustainability is embedded in our operations through value-driven emissions reduction efforts including advancing carbon capture and storage (CCS) projects that support Malaysia's potential as a CCS hub in the Asia-Pacific region.

Gas and Maritime

The Gas and Maritime business delivers integrated gas solutions and energy-related maritime services across the liquefied natural gas (LNG) value chain. Our capabilities span LNG, natural gas infrastructure and transportation, gas processing, as well as marketing and trading, supported by maritime assets serving offshore oil and gas activities.

A key differentiator is our industry-leading floating LNG (FLNG) portfolio, which pioneers the monetisation of stranded gas resources from shallow waters to deepwater and nearshore developments.

Through an integrated value chain and multiple supply nodes, we provide reliable and flexible natural gas and LNG supply, working closely with customers to meet evolving energy and transportation needs. This is enabled by an advanced, energy-efficient shipping fleet that ensures safe, efficient and dependable delivery across global markets, while supporting energy security and the transition toward lower-carbon solutions.

Downstream

The Downstream business spans refining, trading and marketing of crude oil and petroleum products, as well as the manufacturing and marketing of petrochemicals, intermediates and specialty chemicals. With an expansive global footprint, we supply hydrocarbon-derived products to more than 100 markets worldwide. We are strengthening the foundations of new business areas by pursuing future growth opportunities in specialty chemicals and seeking to deliver long-term customer value through investments in biofuels, more sustainable solutions and advanced fluid technologies.

We are also expanding our convenience offerings and integrating digital platforms for our products and services, enabling seamless access that addresses a wider range of consumer needs.

Gentari

Gentari is our wholly-owned subsidiary established to support the adoption and commercialisation of integrated clean energy solutions to complement existing energy systems. As a key driver in diversifying and future-proofing our portfolio, Gentari's focus is on renewable energy, hydrogen and green mobility solutions that align with customers' evolving decarbonisation needs across Asia Pacific.

With operations and projects spanning key markets across Asia Pacific, Gentari continues to expand its integrated clean energy portfolio through customer-centric innovation, agile execution and strategic collaborations that support the region's evolving energy transition needs.

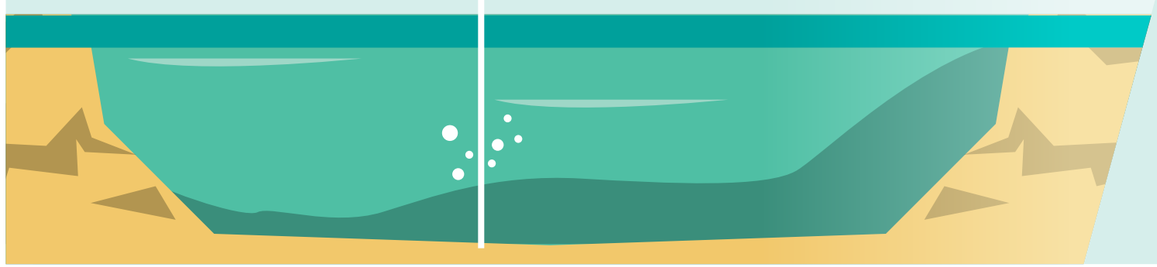
Other Business

Our other ventures include property investment, development and management, helmed by KLCC (Holdings) Sdn Bhd. Its listed entity, KLCCP Stapled Group, is Malaysia's largest REIT and the country's only stapled security, with landmark assets that include the PETRONAS Twin Towers.

PETRONAS Energy Solutions



Exploration, Development and Production



Supply and Generation

Natural Gas

- Liquefaction
- Processing

Crude Oil

- Refining

Renewables

- Renewable Energy

Products and Solutions

- Liquefied Natural Gas
- Convenience Business
- Processed Gas
- Electricity and Storage
- Liquefied Petroleum Gas
- Hydrogen
- Commodity Chemicals
- Green Mobility
- Specialty Chemicals
- Carbon Capture and Storage*
- Petroleum and Bio-based Products
- Maritime and Logistics
- Property

Utilisation

- Power
- Industrial
- Commercial
- Residential
- Agriculture
- Transportation

Note:
** Under development.*

2025 Key Highlights

Core Business
More Energy, Less Emissions

- **Delivered strong dual-front performance across Malaysia and international portfolios**, achieving first hydrocarbon from 26 projects, 28 Final Investment Decisions (FIDs) and 12 exploration discoveries.
- **Sustained production at close to 2 million barrels of oil equivalent per day**, reinforcing Malaysia's position as a stable and reliable energy producer.
- **Expanded international footprint**, securing new upstream positions with **2 new blocks** and a Key Principles Agreement in Indonesia, **3 new blocks** in Suriname, an extended Production Sharing Agreement in Turkmenistan and **1 block** in Guyana.
- **Advanced Malaysia's frontier basin exploration**, acquiring over **3,000 sq km of 3D seismic data**, supported by RM500 million in data enrichment investments under the Technical Evaluation Agreement framework to de-risk exploration for investors.
- Strengthened **cross-border collaboration** with Brunei, setting a regional benchmark for borderless shared resources to accelerate project delivery, while securing long-term supply security and reducing emissions.
- Embarked on PETRONAS' **first-ever satellite business model** to unlock regional opportunities, and a **strategic partnership** to accelerate deepwater exploration and subsequent monetisation in East Malaysia and Indonesia.
- **Scaled artificial intelligence and engineering capabilities** through 7 strategic technology Memoranda of Understanding and agreements such as TriCiptaAI, Upstream Exploration and Development Modelling and Zero Emission Unconventional Power Station.
- **Established 120-megawatt Rancha Power gas-fired plant** in Labuan.
- **Secured approximately 4 million tonnes per annum of long-term liquefied natural gas (LNG) supply** through new agreements with partners internationally.
- **Expanded maritime delivery capability** with the addition of 8 LNG carriers to the maritime fleet.
- Successfully sailed PETRONAS' **first cargo from LNG Canada**, diversifying our LNG supply nodes.
- **Delivered Floating Production, Storage and Offloading Marechal Duque de Caxias (Mero-3) to nameplate production capacity** of 180,000 barrels of oil equivalent per day within 201 days of first oil.
- **Expanded PETRONAS-branded retail stations in Brazil** from 3 to 102 under the Retail Brand Licensing and Solutions model.
- **Grew the Setel™ user base to over 11 million registered users**, while supporting increased fuel transaction volumes following the nationwide implementation of the BUDI MADANI RON95 programme. Setel™ continues to serve as PETRONAS' digital platform for cashless fuel payments and integrated retail and mobility services.

New Business
Capturing New Growth Opportunities

- **Broke ground on PETRONAS' first biorefinery** at Pengerang Integrated Complex to produce Sustainable Aviation Fuel (SAF), renewable diesel (commonly known as Hydrogenated Vegetable Oil) and bio-naphtha.
- **Delivered Malaysia's first locally blended SAF** to Kuala Lumpur International Airport for the Malaysia Aviation Group, demonstrating end-to-end blending and supply capability.
- **Commissioned the new PETRONAS Application Technology Centre** in Shanghai, China to strengthen customer co-creation and faster product development for specialty chemicals across Asia.
- **Expanded saturated synthetic polyol ester portfolio** with 3 new high-performance synthetic fluids.
- **Secured Malaysia's first Offshore Assessment Permit** under the Carbon Capture, Utilization and Storage Act 2025 for the Duyong storage site.
- **Secured Malaysia's first fully funded National Carbon Capture project** targeting approximately 200 tonnes per day of carbon dioxide capture from steelmaking operations.
- **Achieved cumulative installed and under construction capacity of 9.1 gigawatts** across solar, wind and battery energy storage projects.
- Achieved **first power delivery** at the Hai Long Offshore Wind Project to advance offshore wind capability in Asia Pacific.
- **Advanced 175 kilotonnes per annum of matured hydrogen opportunities** across Asia and Europe.
- Delivered Peninsular Malaysia's **first Mobile Hydrogen Refuelling Station**, four months ahead of schedule.
- **Expanded regional electric vehicle charging network** to more than 1,100 charging points, and **enabled cross-border roaming through Gentari Go™**, providing access to approximately 10,000 charging points across Malaysia, Thailand, Singapore and India.

Net Zero Carbon Emissions
Pathway to Net Zero

- **Cumulative greenhouse gas (GHG) emissions reduction since 2013 amounted to 22.2 million tonnes of carbon dioxide equivalent (CO_2e)**. In 2025, Group-wide GHG emissions under equity share totalled 50.57 million tonnes CO_2e, representing a 5 per cent increase compared with the previous year.
- **Reduced methane emissions by 80 per cent** from the 2019 baseline across the Group's natural gas value chain.
- **Achieved Gold Standard Reporting** under the Oil and Gas Methane Partnership 2.0, reflecting the highest level of methane data quality and transparent disclosure across operated assets.

Awards and Recognitions

PETRONAS has been honoured with a range of awards and recognitions in the year under review, reflecting the collective efforts of our people and the impact of our contributions to the energy industry. These accolades are a testament to our pursuit of operational excellence and responsible growth, and symbolise the trust and confidence placed in us by our stakeholders and the communities we serve.

Scan the QR code to view the full list of awards and recognitions.

Financial Performance

Revenue	Profit After Tax	Cash Flows from Operations	Total Assets
RM266.1 billion	**RM45.4 billion**	**RM85.2 billion**	**RM775.0 billion**
2024: RM320.0 billion	2024: RM55.1 billion	2024: RM102.5 billion	2024: RM766.7 billion

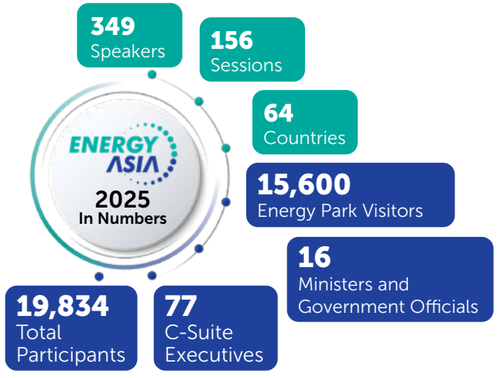
Delivering Asia's Energy Transition through Energy Asia 2025

The second edition of Energy Asia by PETRONAS took place in Kuala Lumpur from 16 to 18 June 2025 under the theme **'Delivering Asia's Energy Transition'**. Convening over 19,000 participants, the conference addressed the risks and opportunities shaping the region's energy future, from supply security and capital constraints to technology deployment and evolving policy frameworks.

A key milestone was the inaugural Energy Asia Global Leadership Executive Forum (EAGLe), a closed-door gathering of global CEOs and C-suite executives across energy, finance and technology. The forum established alignment on four priority actions, namely, strengthening system resilience, enhancing project bankability, reducing emissions while delivering social impact and accelerating the adoption of decarbonisation technologies.

The Executive Conference translated this leadership consensus into sector-focused dialogue, bringing together policymakers, industry leaders and investors to explore practical pathways, partnerships and opportunities across priority transition themes.

Concurrently, the Energy Park operated as a commercial marketplace for deployable technologies and integrated solutions, connecting startups, innovators and financiers to accelerate collaboration and investment pipelines.



Energy Asia 2027 is set to build on this momentum. Scan the QR code to learn more.

Energy Asia 2025 reinforced PETRONAS' role as a strategic convenor, supporting dialogue, encouraging collaboration and contributing to practical, Asia-focused progress in the energy transition.

Key shifts compared to Energy Asia 2023:

- **119 per cent** increase in total speakers.
- Stronger thought leader participation from across Asia Pacific.
- Female speakers more than doubled to **86**.
- Stronger industry representation across the energy value chain.

Chairman's Letter



Tan Sri Dato' Seri Mohd Bakke Salleh
Chairman

Dear Stakeholders,

The year 2025 marked a pivotal inflection point, where deepening geopolitical divisions had significantly impacted trade flows, supply chains and market dynamics. Against this backdrop, PETRONAS remained steadfast in fulfilling our responsibilities, working to reinforce energy security and fulfil the expectations of our stakeholders and customers.

The prolonged tensions that defined the year under review have culminated in an ongoing conflict in West Asia as I pen this note. Accordingly, at the time of publication, the world continues to contend with significant disruptions to the energy system resulting from this conflict. This has further underscored the critical importance of energy to national security and the global economy.

As the economic landscape at large continues to be reshaped by these new realities, it falls upon industry players to collectively build a more resilient and reliable ecosystem capable of withstanding volatility. This was precisely what PETRONAS' efforts had been focused on in 2025.

Guided by our Energy Transition Strategy, PETRONAS laid strong foundations that enabled us to deliver a resilient performance for the year in review while ensuring security of energy supply for Malaysia and customers around the world. The Group's commitment towards our purpose as a progressive energy and solutions partner remains unwavering and this will continue to steer us forward.

Delivering Our Mandate

Over the past 50 years, the energy industry has evolved significantly, becoming increasingly interconnected and complex. Throughout this period, PETRONAS has continued to diligently discharge our obligations to Malaysia, with a clear focus on long-term growth.

For the year under review, the Group delivered a scheduled dividend payment of RM32.0 billion to the Government of Malaysia. PETRONAS also remains the sole contributor to the National Trust Fund established to ensure future generations of Malaysians will benefit from its natural resources. In 2025, we contributed RM500.0 million to the Fund, bringing the cumulative total to RM14.0 billion.

Since 1974, PETRONAS has contributed nearly RM1.6 trillion in overall economic value to the nation through dividends, royalties, taxes, cash payments, and other means.

Strengthening Ecosystem Resilience

Beyond fiscal contributions, PETRONAS, as the national oil company of Malaysia, works in close coordination with our key stakeholders to build a robust and resilient energy sector that serves the nation's long-term interests.

Part of our efforts in this regard focuses on nurturing a strong and competitive Oil and Gas Services and Equipment (OGSE) ecosystem. PETRONAS does so through initiatives that provide support to small and medium enterprises (SMEs) by developing technical capabilities, improving access to financing, and providing industry insights. In doing so, we aim to unlock the potential for these players to compete, innovate and scale.

To date, PETRONAS' Vendor Development Programme has benefitted 173 SMEs, which are now competing more effectively in the OGSE ecosystem. Meanwhile, 1,022 companies participated in the PETRONAS Supplier Support Programme since its inception in 2024, where they were guided on the adoption of sustainability principles and practices across their businesses.

In 2025, the Government of Malaysia rolled out the BUDI MADANI RON95 (BUDI95) programme, a targeted subsidy for RON95 petrol, for which PETRONAS played a key role in supporting its operationalisation. Through integration with our station infrastructure and mobile application, PETRONAS supported this large-scale national initiative through to successful implementation, delivering tangible value for Malaysians who rely on the system every day.

These efforts demonstrate the effectiveness of PETRONAS' collaborative approach with government and industry partners in advancing sustainable progress within a dynamic and interconnected energy ecosystem.

Creating Positive Impact

PETRONAS believes that holistic and sustainable progress can only be achieved when it is made alongside communities. Since inception, we have established long-standing efforts to create positive social impact in Malaysia and in global communities where we operate.

Under the PETRONAS Powering Knowledge® Education Sponsorship programme and other youth development initiatives, thousands of students have gained access to quality education and leadership development opportunities. Since 1975, PETRONAS has invested over RM3.8 billion through PETRONAS Powering Knowledge® Education Sponsorship, benefitting more than 40,000 Malaysian students.

Beyond this, PETRONAS contributed over RM500.0 million through social impact programmes during the year under review, impacting a large number of individuals worldwide. These programmes were carried out in close collaboration with ministries and local partners, ensuring meaningful impact was made where the communities needed them the most.

Pathway to a Sustainable Future

Since the launch of PETRONAS' Net Zero Carbon Emissions by 2050 Pathway, the Group remains committed in our efforts to manage emissions in support of Malaysia's national commitments. While industry trends have seen a notable shift from energy transition to energy addition, PETRONAS' pragmatic approach is envisaged to guide the Group towards our aspiration while still delivering energy reliably.

Since 2013, PETRONAS has reduced its annual emissions by 22.2 million tonnes of carbon dioxide equivalent ($MtCO_2e$) through the implementation of emission reduction projects across our operationally controlled assets.

Further to this, PETRONAS has reinforced its commitment to protecting and conserving nature through two clear targets: no net loss of biodiversity in existing operations from 2030 onwards and net positive impact for all new projects from 2024 onwards. The Group also introduced resource efficiency targets in Malaysia to be achieved by 2030. These include a 14 per cent reduction in freshwater used in water-stressed areas and an 82 per cent hazardous waste circularity target.

Moving Forward

The past few years have fundamentally reshaped the operating landscape. Looking ahead, we expect sustained volatility in key market dynamics, even as global energy demand continues to grow.

PETRONAS has always adopted a prudent approach of disciplined capital allocation, underpinned by strong governance and risk oversight. This has enabled us to establish a solid foundation focused on liquidity, value-accretion and long-term growth.

The Board is confident that the measures taken to enhance agility and sharpen strategic clarity will bolster the Group's resilience, paving the way for us to continue delivering energy and value to our stakeholders and customers.

Moving forward, PETRONAS remains committed to nurturing our invaluable partnerships with governments, partners, employees and communities. Through collaboration and engagement, we will continue to foster greater alignment and encourage regional discourse on energy affordability, security and transition pathways as we did in 2025, through our support of Malaysia's ASEAN Chairmanship and Energy Asia.

Acknowledgments

On behalf of the Board, I would like to extend my appreciation to Tan Sri Tengku Muhammad Taufik, President and Group Chief Executive Officer, and the Executive Leadership Team for their steadfast commitment in helming the Group through a challenging operating year.

I also convey my sincere gratitude to all PETRONAS employees for their unfaltering and indomitable dedication, and for upholding the timeless PETRONAS Shared Values in an environment that demanded swift adaptability and rigorous execution.

Finally, I would like to thank our valued stakeholders for their continued confidence in PETRONAS. As we prepare for the year ahead, we remain steadfast in strengthening the partnerships that enable us to deliver long-term value to the nation.
Thank you.

President and Group Chief Executive Officer's Letter



Tan Sri Tengku Muhammad Taufik
President and Group Chief Executive Officer

Dear Stakeholders,

In 2025, PETRONAS was steadfast in our focus on delivering long-term value and energy security amid unrelenting volatility throughout the course of the year. This firm commitment continued to steer PETRONAS in discharging our critical role as a trusted energy and solutions partner, both to Malaysia as its national oil company and to our customers around the world.

Uncertainty has undeniably become a defining feature in the energy industry today. In anticipating more headwinds in the macro environment, PETRONAS' priority in 2025 was to build resilience through projects and partnerships that strengthen operational reliability, accelerate value delivery, and diversify our supply nodes as well as revenue streams.

As you read this report, the escalating conflict in West Asia continues to fundamentally shift the global economic and geopolitical order. This has irrevocably impacted financial markets, trade and logistics, and importantly, the world's entire energy system.

I am pleased to report that PETRONAS has put in place strong foundations through our achievements in 2025. Moving forward, the Group will continue working with governments, businesses and partners to ensure that energy continues to flow reliably and responsibly.

Safety Above All

PETRONAS' results in 2025 were made possible by the contribution of our dedicated employees across the Group, who prioritised safety in all our undertakings. In delivering these results, PETRONAS recorded zero fatalities in 2025. However, the Group also saw a 40 per cent increase in Lost Time Injury Frequency. In tackling this, PETRONAS will continue reinforcing a culture of safety and take measures to create a safer environment for our colleagues, partners and in locations where we operate.

Regrettably, one major fire incident occurred at the Putra Heights gas pipeline in Selangor, Malaysia. In the immediate aftermath of this tragic incident, PETRONAS and its subsidiary, PETRONAS Gas Berhad, worked closely together with the relevant government authorities on a rapid and coordinated emergency response to stabilise the situation.

Efforts in this regard included fire containment, public safety, assistance to those affected and ensuring the security of gas supply. PETRONAS remains fully committed to our ongoing cooperation with all stakeholders involved in strengthening the safety and reliability of all our facilities.

Delivering Value

In navigating the market headwinds that are increasingly difficult to predict, PETRONAS took an approach of prudent financial management and disciplined capital allocation to preserve long-term value.

Guided by this, PETRONAS delivered a resilient financial performance in 2025, with a Profit After Tax of RM45.4 billion on the back of RM266.1 billion in revenue. Earnings before Interest, Taxes, Depreciation and Amortisation stood at RM103.0 billion for the year under review.

PETRONAS maintained a robust financial position, supported by strong operating cash flows and disciplined cost management. Cash Flows from Operations stood at RM85.2 billion, ensuring the Group retained robust capacity to fund operational requirements, capital investments, debt obligations and shareholder returns.

Total assets increased to RM775.0 billion, while capital expenditure was at RM41.6 billion, of which 60 per cent had been invested in Malaysia in support of national energy security and the local Oil and Gas Services and Equipment sector.

Building Resilience

PETRONAS' financial performance in the year under review is testament to the clear vision and continued relevance of our Energy Transition Strategy, which focused on strengthening Core Business, accelerating value-accretive growth in New Business, while responsibly managing emissions across the Group. Since its introduction in 2022, this strategy has steered the Group towards continued value delivery and energy security.

In 2025, some of PETRONAS' achievements in this regard include:

- Diversified our LNG supply with the commissioning of LNG Canada Trains 1 and 2 in British Columbia. This new heartland complements the PETRONAS LNG Complex in Bintulu, Malaysia and our two Floating LNG facilities, further establishing our market leadership in LNG.
- Expanded our international upstream portfolio through Production Sharing Contracts (PSCs) in Suriname and Guyana, Key Principles Agreement for the North Sumatra Offshore PSC opportunities through Vestigo, two Memoranda of Understanding for exploration collaboration in the Middle East and Southeast Asia, and Final Investment Decision for the Kelidang Cluster Development in Brunei.
- Positioned the Group for more efficient upstream development in Southeast Asia through PETRONAS' first satellite business model partnership with Eni. This strategic collaboration entailed the consolidation of selected upstream assets to strengthen capital efficiency and accelerate project development cycles.
- Strengthened our bio-based value chain with the groundbreaking for PETRONAS' first biorefinery at the Pengerang Integrated Complex in Johor, Malaysia. This will pave the way for us to deliver Sustainable Aviation Fuel (SAF), Hydrogenated Vegetable Oil and bio-naphtha.
- Advanced progress in regional interconnectivity through a Joint Development Agreement among MY Energy Consortium (established between PETRONAS and Malaysian utilities player, Tenaga Nasional), PetroVietnam Technical Services Corporation and Sembcorp Utilities to export renewable electricity from Vietnam to Singapore and Malaysia.
- Expanded our suite of lower-carbon energy and solutions offering by achieving 9.1 gigawatts of installed and under-construction renewables capacity; 1,181 electric vehicles charging points across Malaysia, Thailand and India; and signed the first long-term sale and purchase agreement with Uniper SE for the supply of up to 500 kilotonnes per annum of Renewable Fuels of Non-Biological Origin-compliant green ammonia.
- Enhanced our in-house capabilities to support emissions reduction in aviation through the delivery of Malaysia's first locally blended SAF to Kuala Lumpur International Airport.
- Achieved an 80 per cent reduction in methane emissions across the Group-wide natural gas value chain, exceeding our target of 50 per cent reduction by 2025.

Looking Ahead

In 2026, PETRONAS will continue to ramp up efforts that will better position the Group to deliver consistently and reliably to our stakeholders and customers. As the operating environment is being jarringly reshaped by persistent geopolitical and market pressures, PETRONAS has acted proactively to put in place measures to strengthen the resilience of our business and portfolio.

Moving forward, we will intensify our focus on value-accretive undertakings and pursue strategic partnerships to accelerate value delivery, even as we diversify supply pathways and vigorously pursue improved efficiency while responsibly managing emissions.

In this opportunity, I would like to extend my heartfelt appreciation to the Chairman, Tan Sri Dato' Seri Mohd Bakke Salleh, and the PETRONAS Board of Directors for the stewardship and support extended, as well as to the Federal and State Governments in Malaysia, the host governments across our global operations and partners for the trust placed in PETRONAS.

Last but certainly not least, I wish to put on record my sincere thanks to all the employees of PETRONAS, whose unshakeable fortitude, resilience and invaluable contributions were crucial in delivering the Group's 2025 achievements.

As we look ahead, PETRONAS remains resolute in fulfilling our purpose by growing our role as an energy and solutions provider, contributing towards economic growth and ensuring the energy security of those we serve across the globe.

PETRONAS Energy Transition Strategy



Employees on routine walkabout at Malaysian Refining Company in Melaka, Malaysia.

The PETRONAS Energy Transition Strategy charts our path forward in a rapidly evolving energy landscape shaped by the ongoing imperatives of security, affordability and sustainability. We leverage our integrated portfolio, capital discipline and execution capability to support our ability to deliver energy that is reliable, affordable and progressively lower-carbon.

Our Energy Transition Strategy is anchored on **three strategic pillars**: strengthening and delivering our Core Business, scaling New Business and pursuing a credible Pathway to Net Zero by 2050.

Collectively, these pillars position us to deliver reliable energy solutions with lower emissions that adapt to evolving customer needs, diversify our portfolio through disciplined expansion into lower-carbon businesses, and embed decarbonisation and sustainability considerations into how we allocate capital and make strategic decisions.

Core Business
More Energy, Less Emissions

What It Means

Core Business centres on delivering an integrated hydrocarbon value chain, with a disciplined focus on progressively lowering carbon intensity across operations. It encompasses our Upstream, Gas and Maritime, and Downstream segments, spanning both domestic and international footprints.

As a substantial component of our portfolio, Core Business remains a primary cash generator, sustaining current commitments while providing the financial capacity to fund New Business growth and progress our decarbonisation agenda.

We are strengthening our Core Business through more differentiated business and partnership models, and increasing capital recycling to unlock the next wave of growth and drive value creation.

In Malaysia, Core Business continues to serve as a critical economic pillar, catalysing foreign direct investment and supporting the resilience of the local Oil and Gas Services and Equipment ecosystem.

Decarbonisation and sustainability considerations are increasingly embedded into investment and operational decisions, ensuring the systematic reduction of carbon intensity across our Core Business portfolio.

The **three primary areas** of PETRONAS Core Business are:

Core Business

Upstream

- Our Upstream strategy focuses on delivering advantaged barrels safely at low cost and lower emissions, while strengthening long-term competitiveness by accelerating value delivery across the exploration, development and production life cycle.
- We prioritise disciplined portfolio management through high-grading and optimisation, faster maturation of resources and selective capital deployment to enhance resilience and value creation.
- Operational excellence remains a core pillar, anchored in fit-for-purpose design, standardised development models and disciplined execution, delivering safer, lower-cost and lower-emissions production through integrated planning and strong asset reliability.
- Advanced digital and data-driven capabilities are progressively embedded to improve decision quality, resource certainty and recovery outcomes.
- Safety, reliability and environmental responsibility are integral to how we operate. We continue to strengthen lower-emission practices across our Upstream activities, including emissions management and readiness for carbon capture and storage (CCS) solutions.
- We actively pursue strategic partnerships and technology collaborations to enable sustainable growth, strengthen competitiveness and build long-term resilience in a changing energy landscape.

Gas and Maritime

- Our Gas and Maritime business is evolving into a provider of integrated, more emission-efficient energy solutions, driven by a commitment to supply resilience, commercial agility and operational excellence. Anchored by a portfolio where gas comprises two-thirds of our mix, we are strategically positioned to play a key role in the global energy transition.
- We are expanding our supply base and penetrating new markets by balancing long-term asset-backed positions with flexible, asset-light arrangements. This ensures a competitive supply of lower-carbon liquefied natural gas (LNG) as a critical transition fuel for our customers globally.
- We deliver high-efficiency maritime services by deploying vessels with reduced emissions and optimising fleet utilisation, creating enterprise-wide synergies across the LNG value chain.
- Our offerings span the full spectrum, from infrastructure and processing to transportation and trading, supported by targeted decarbonisation initiatives that reinforce our commitment to a net-zero carbon future.

Downstream

- Our Downstream business refines, trades and markets crude oil, petroleum products and chemicals, including commodity and specialty chemicals, for domestic and international markets.
- We create and preserve value in retail, commercial and industrial segments across commodity cycles by leveraging operational excellence of integrated assets and deep market insights.
- We expand product offerings and solutions that evolve with market and customer needs, through strategic partnerships and differentiated business models, providing new value sources to Downstream.

What It Delivers

- Energy security by ensuring stable and reliable supply to domestic and international markets.
- Strong cash flows to fund dividends to shareholders and reinvestment into New Business and energy transition initiatives.
- A lower greenhouse gas intensity hydrocarbon portfolio, supporting long-term resilience and sustainability.

PETRONAS Energy Transition Strategy

New Business
Capturing New Growth Opportunities

What It Means

New Business represents our pursuit of portfolio diversification, guided by evolving customer needs and the transition towards a cleaner, lower-carbon and more sustainable energy system.

Our investments in New Business remain deliberate, selective and disciplined, with a clear focus on capital efficiency and value accretive outcomes.

Complementing our hydrocarbon-based solutions, New Business enables integrated lower-carbon solutions that address customer demand for energy security while meeting their carbon reduction and cost targets.

In doing so, New Business provides a hedge against earnings volatility arising from the inherent cyclicality of oil and gas markets, helping to preserve overall portfolio resilience.

Today, PETRONAS is advancing **six New Business verticals**:

New Business

Renewable Energy
We pursue renewable energy growth with discipline, in selected countries with strong demand growth, activate best-practice funding structures that can deliver robust returns, emphasise renewable energy-hydrogen synergies and unlock value through long-duration energy storage.

Specialty Chemicals
We strengthen our specialty chemicals portfolio through continuous innovation and disciplined growth, with a differentiated approach from product to product, while gaining access to new capabilities, markets and geographies.

Bio-based Value Chain
We embark on bio-based solutioning aligned with evolving customer preferences, ensuring a sustainable value chain, leveraging strategic partnerships to accelerate market access and capability development.

Hydrogen
We undertake progressive growth in green hydrogen and ammonia projects, secure offtake to underpin investments, improve cost competitiveness and strengthen market positioning through partnerships and technology, balancing long-term hydrogen market potential and short-term challenges.

Green Mobility
We expand electric vehicle charging infrastructure, leveraging partnerships to support growing adoption of sustainable mobility solutions.

Carbon Capture and Storage
We are building a carbon capture and storage (CCS) ecosystem to position Malaysia as a regional hub, enabling decarbonisation across industries. By leveraging our subsurface expertise, existing infrastructure and strategic partnerships across the CCS value chain, we are developing scalable carbon management capabilities to address residual emissions that cannot be eliminated through operational efficiency alone.

What It Delivers

- Diversification of revenue streams beyond traditional hydrocarbons.
- Integrated solutions to customers.
- Strengthens PETRONAS' position as an integrated energy company, supporting long-term growth.

Net Zero Carbon Emissions
Pathway to Net Zero

What It Means

We pursue our pathway to net zero carbon emissions (NZCE), aligned with our commitment to achieve NZCE by 2050, by embedding decarbonisation across our portfolio. Decarbonisation and sustainability considerations are increasingly integrated into investment and operational decisions, ensuring the systematic reduction of carbon intensity across our portfolio.

The energy transition is not linear. Over the past year, its pace has evolved in response to policy developments, cost dynamics and technological progress. As a result, today's transition is increasingly shaped by pragmatic and practical solutions that balance emissions reduction with energy security and affordability.

In this context, we adopt a disciplined and integrated approach that focuses on practical and scalable solutions, portfolio prioritisation and capital discipline to deliver measurable emissions reduction. This ensures our decarbonisation efforts remain responsible, credible and aligned with business realities.

Our decarbonisation efforts are driven by **four key abatement levers**, which form the foundation of our operational emissions reduction pathway:

Key Abatement Levers

Zero Routine Flaring and Venting
We commit to systematically eliminating routine flaring and venting across existing and new production sites in support of the World Bank's Zero Routine Flaring by 2030 initiative. This includes flare gas recovery, enhanced compressor capacity and the conversion of venting-to-flare systems - recovering otherwise-wasted gas, and reducing methane and carbon emissions from upstream operations.

Energy Efficiency
We drive energy efficiency across our operations through optimising asset performance, deploying digital solutions and implementing targeted process improvements to reduce greenhouse gas intensity. This includes enhancements in plant performance, heat recovery and equipment efficiency, enabling us to deliver more output with less energy.

Electrification
We electrify our operations, where feasible, with lower-carbon power through asset modification, infrastructure development and the integration of renewable energy, reducing direct emissions from on-site combustion.

Carbon Capture and Storage
We advance carbon capture and storage (CCS) solutions to capture carbon dioxide from identified high-emission assets and store it securely in geological formations. CCS supports the reduction of residual emissions that cannot currently be eliminated through operational efficiency, electrification or other abatement measures.

Beyond operational decarbonisation, our Net Zero Carbon Emissions by 2050 Pathway is supported by broader sustainability considerations, including the protection of nature and biodiversity, and respect for human rights. These priorities are addressed through our Sustainability Approach.

What It Delivers

- Reduction of operational emissions.
- Alignment with evolving regulatory and policy requirements.
- Strengthening access to transition finance and sustainable capital to support PETRONAS' long-term transformation.

Value Creation Model

PETRONAS Energy Transition Strategy

Core Business
More Energy, Less Emissions

New Business
Capturing New Growth Opportunities

Net Zero Carbon Emissions
Pathway to Net Zero

Our Capitals

FC — Financial Capital
Capital available to the Group to finance our operations, activities and investments in growth areas.

MC — Manufactured Capital
Assets and infrastructure that underpin our business.

HC — Human Capital
Workforce that delivers on our strategy and long-term value.

IC — Intellectual Capital
Proprietary technologies, solutions and organisational systems that deliver value and growth.

NC — Natural Capital
Manage impacts on land, water, air and biodiversity through responsible operations and resource use.

SRC — Social and Relationship Capital
Our engagements and relationships with stakeholders, including government agencies, local communities, industry partners and customers.

Inputs

- **RM775.0 billion** in total assets.
- **RM283.9 billion** in property, plant and equipment.
- **RM439.0 million** of total investment in employee training.
- **RM413.0 million** in technology investments.
- Over **RM4.0 billion** directed to emissions reduction projects and cleaner energy solutions.
- **7.92 billion** barrels of oil equivalent (boe) 2P Reserve.*

Note:
* *2P Denotes the best estimate of Reserves. The sum of Proved plus Probable Reserves.*

- Contributed more than **RM500.0 million** worldwide on social impact programmes.

Activities

Liquefaction | Processing | Refining | Renewable Energy

Sustainability Approach

Creating Sustainable Value through Responsible Governance

Thriving with Nature

Delivering Net Zero

Fostering a Just Transition

Refer to Our Approach to Sustainability on pages 40 to 41 and Material Topics on pages 42 to 45.

Operating Landscape

- Macroeconomic and Policy Realignment
- Energy Markets and Capital Discipline
- Oil Price Volatility
- Energy Transition and Climate Regulation
- Technology and Capability Evolution

Refer to Operating Landscape on pages 22 to 25.

Key Risks

- Market
- Financial Liquidity
- Legal and Regulatory
- Sustainability
- Health, Safety, Security and Environmental
- Geopolitical
- Hydrocarbon Reserves and Resources
- Technology
- Project Execution
- Human Capital

Refer to Risks Linked to Creating Value on pages 26 to 39.

Outputs and Outcomes

FC
Sustaining profitability and growth to meet Malaysia's and customer markets' current and future energy needs through reinvestment, emissions reduction efforts and dividends.
- **RM45.4 billion** profit after tax.
- **RM32.0 billion** dividend to the government.

MC
Managing a resilient asset and infrastructure portfolio aligned with strategic goals for long-term productivity.
- **36.6 million** metric tonnes LNG sales.
- **10.5 million** metric tonnes of chemical sales volume.
- **209.4 million** barrels of petroleum products sales volume.

HC
Strengthening a skilled talent and succession pipeline.
- **49** learning hours per employee on average.

IC
Strengthening long-term resilience by investing in research and development, technology and new businesses.
- **19** intellectual property (IP) filed.
- **78** patents secured.

NC
Responsible resource use and ecosystem management to ensure operational continuity, compliance and long-term value.
- **2,423 thousand** barrels of oil equivalent (boe) per day crude oil, condensates and natural gas production.
- **1.0 million** tonnes of CO_2e emissions reduced annually from 24 projects, with overall annual emissions decreasing by 0.3 per cent to 55.6 per cent.
- **62,828** tonnes total hazardous waste reduced, reused and recycled.
- **More than 40,000** mangrove saplings planted under the Blue Carbon Collective.

SRC
Supporting social progress through community projects.
- More than **2.5 million** lives reached through community initiatives.

Trade-offs

- Continued investment in hydrocarbon resources supports energy security and current energy demand. However, where emissions cannot yet be fully abated, these investments may increase exposure to climate-related impacts and transition risks, reflecting the balance between sustaining Financial and Manufactured Capital while managing impacts on Natural Capital as lower-carbon energy solutions and business models continue to scale.
- Investments in Manufactured, Natural and Intellectual Capitals, ranging from emissions reduction technologies to capability building, require significant Financial Capital. While this may create short-term financial pressure, this balancing is important to secure future value and long-term resilience.
- Strengthening Intellectual and Human Capitals through talent development, innovation and knowledge-sharing may constrain Financial Capital in the short-term. However, these investments build future talent capabilities that enhance operational effectiveness, innovation and competitiveness while contributing to Malaysia's socio-economic progress.

Stakeholders

FG SG C E SIC GIP CN IO

FG SG C SIC M GIP IO

FG SG E SIC IO

FG SG E SIC GIP IO

FG SG E SIC GIP IO

FG SG C E SIC M GIP CN IO

Our Operating Landscape

The operating landscape in 2025 reflected a world of slower growth, shifting policies and stricter regulations. Global economic growth moderated as elevated interest rates, heightened geopolitical tensions and widening trade fragmentation weighed on investment. This occurred even as energy demand continued to grow and oil and gas remained key in meeting the world's energy needs.

The year also saw markets going through increased volatility, intensifying challenges in portfolio planning in the oil and gas sector, which typically have long-term developments. This affected oil and gas service providers that rely on continuous project sanctioning.

This mix of pressure created an environment in which the world demanded more energy but with stronger governance and greater transparency to ensure lower emissions. For us, this meant navigating several transitions simultaneously: economic divergence, energy transition, regulatory tightening and technological change. All of these factors shaped how we planned, invested and operated throughout the year.

Key Themes in 2025

What Is Changing	What It Means for PETRONAS
Macroeconomic and Policy Realignment • Slower global growth. • Fiscal reform. • Carbon pricing preparation.	Shifts in demand, pricing dynamics and long-term cost structures.
Energy Markets and Capital Discipline • Oil and gas demand growth under current policies. • Slowing LNG demand growth in the long-term. • Pressure on chemicals margins.	Heightens need for cost leadership and portfolio discipline.
Oil Price Volatility • Range-bound, volatile prices with oversupply risk.	Increases pressure on margins and investment selectivity.
Energy Transition and Climate Regulation • Climate disclosure shifting from voluntary to regulatory. • Carbon cost emerges.	Makes decarbonisation and data quality business-critical.
Technology and Capability Evolution • AI, digitalisation and future-ready skills.	Enhances productivity upside and reskilling pressure.

Our Operating Landscape

Macroeconomic and Policy Realignment

Context and Trends

Global growth moderated as interest rates remained elevated relative to post-pandemic lows, despite being eased from its peak level. This was further compounded by geopolitical tensions and widening trade fragmentation. Taken together, these factors have slowed investments for 2025. The International Monetary Fund projected global growth of about 3.0 per cent to 3.2 per cent in 2025, with inflation easing but real rates remaining structurally higher than in the previous decade.

Malaysia's economy was resilient, with gross domestic product growth accelerating to 5.2 per cent in 2025, from 4.2 per cent a year earlier, supported by strong domestic consumption and favourable exports. The government advanced fuel subsidy rationalisation through the BUDI MADANI RON95 (BUDI95) programme and is prepared to introduce a carbon tax for emissions-intensive sectors. Malaysia also launched the National Sustainability Reporting Framework (NSRF), aligned with the International Financial Reporting Standards (IFRS) S1 and S2, with a stronger emphasis on assurance.

These developments raise cost exposure for high-emitting assets and may compress margins in upstream, gas and downstream businesses if efficiency and decarbonisation do not keep pace. They also lift compliance and assurance costs, influence domestic pricing and demand behaviour, while shaping investment certainty through evolving state-federal dynamics.

Our Efforts

- Built carbon pricing assumptions into project economics and capital allocation.
- Intensify energy efficiency efforts in core asset and advocate industry imperatives to support the development of the Carbon Capture, Utilization and Storage (CCUS) Act 2025.
- Embedded IFRS S2-aligned disclosures across governance, strategy, risk, metrics and targets, and phased in independent assurance of greenhouse gas (GHG) emissions data.
- Refined our energy transition focus towards advantaged barrels, liquefied natural gas (LNG), carbon capture and storage (CCS) and new energy.

Outlook

Regulatory complexity and disclosure demands will continue to rise. Carbon pricing and fuel subsidy reform will favour players with credible decarbonisation plans and low-cost supply.

Energy Markets and Capital Discipline

Context and Trends

Under current policies, global oil and gas demand could continue rising through 2050, with oil consumption increasing from about 100 million barrels per day in 2024 to around 105 million barrels per day by 2035, and potentially 113 million barrels per day by 2050. Fossil fuels still supply nearly four-fifths of global energy.

LNG supply is set to expand by about 50 per cent by 2030, driven by new projects in the United States, Qatar and Africa. Asia remains the main demand centre, but some markets showed softness and price sensitivity in 2025. Chemicals faced margin pressure from overcapacity in China and slower global growth.

These trends raise price and utilisation risk in gas projects and intensify margin pressure in chemicals, underscoring the need for sharper portfolio choices.

Our Efforts

- Focused on low-cost, lower-carbon barrels and molecules, prioritising high-return, low unit-cost developments.
- Reinforced LNG competitiveness through cost control, reliability and integrated trading.
- High-graded the portfolio by rationalising lower-return assets and investing selectively in advantaged resources.
- Continued growth in specialty chemicals while progressively integrating with lower-carbon solutions.

Outlook

Oil and gas will remain central to energy systems, especially in Asia, but growth demand will slow and competition will intensify. Success will depend on supplying cleaner molecules at competitive cost while building lower-carbon businesses.

Scan the QR code to view our PETRONAS Activity Outlook 2026 to 2028, which provides Malaysia's OGSE industry with insights into forecasted activities across our Upstream, Downstream, and Gas and Maritime businesses for the Malaysian operations.

Oil Price Volatility

Context and Trends

Slowing economic expansion and trade fragmentation tempered oil demand growth. Outlooks show no clear peak in oil demand before 2035 under current policies, but short-term supply surpluses and capacity additions keep markets well supplied. Geopolitics, OPEC+ policy and United States shale responsiveness continue to drive volatility.

Lower average prices in the first half of 2025 reduced our revenue and profit compared with the prior year. Prolonged moderate prices compressed margins and raised the importance of disciplined capital allocation.

Our Efforts

- Applied conservative price assumptions in investment cases and stress-tested projects against downside scenarios.
- Phased capital expenditure (CAPEX) to protect balance sheet strength.
- Intensified cost efficiency, digitalisation and reliability initiatives to sustain margins at lower price levels.

Outlook

Prices will likely remain volatile, driven by geopolitical risk and OPEC+ policy, with supply tightness due to the current US-Israel war with Iran.

Energy Transition and Climate Regulation

Context and Trends

Investment in renewables, CCS and hydrogen continued to rise, even as oil and gas demand grew under current policies. Climate reporting shifted from a voluntary practice to a regulatory expectation.

The International Sustainability Standards Board's (ISSB) IFRS S1 and S2 took effect globally from 2024. Malaysia launched the NSRF, to be implemented in phases, and had announced plans to introduce a carbon tax in 2026, though the government has since indicated it will review the implementation timeline, while maintaining its long-term commitment to carbon pricing as part of the National Climate Change Bill and National Carbon Market Policy.

These shifts raise compliance expectations and place carbon costs directly into business decisions.

Our Efforts

- Embedded climate-considerations into governance, strategy, risk management and performance in line with IFRS S2.
- Strengthened emissions measurement, controls and assurance.
- Enhanced methane emissions measurement precision and reporting transparency to sustain the Oil and Gas Methane Partnership 2.0 Gold Standard.

Outlook

Disclosure demands will continue to tighten, favouring credible lower-carbon solutions.

Technology and Capability Evolution

Context and Trends

Digital tools, data analytics and AI expanded their role in planning, maintenance and safety. Rapid growth in data centres increased electricity demand and may reinforce the role of gas in power generation. To remain competitive, our operating model and workforce capabilities must evolve rapidly to meet these shifting demands.

These forces reshape the mix of skills required and increase the value of digital capability in daily operations.

Our Efforts

- Invested in digital and technical skills across operations.
- Aligned planning to emerging demand patterns such as data centre-driven power needs.
- Implemented strategic transformation with reskilling programmes and people-centred transition measures.

Outlook

Technology will increasingly support safer and more reliable operations. Success will depend on our ability to rapidly deploy innovative solutions, supported by an agile workforce.

Delivering Our Strategy

Core Business 52
New Business 65
Net Zero Carbon Emissions 81

Core Business

More Energy, Less Emissions

Focus Areas

PETRONAS' Core Business is anchored in three integrated business segments spanning Upstream, Gas and Maritime, and Downstream. Together, these form a cohesive value chain that delivers reliable energy and industrial solutions in support of energy security, while generating resilient cash flows to sustain current commitments and fund New Business investments critical to advancing energy transition.

Upstream

"As entrusted under the Petroleum Development Act 1974, we oversee the management and development of Malaysia's oil and gas resources, with a focus on shaping and accelerating Malaysia's upstream industry to ensure long-term energy security.

In 2025, Malaysia Petroleum Management (MPM) continued to strengthen Malaysia's upstream foundations and sustained investment interest, reinforcing the country's position as a vibrant exploration, development and production hub. We brought new opportunities to market, advanced our geological understanding and laid the foundations for more complex developments ahead. The focus was not only on today's activity, but on shaping an industry that remains relevant and competitive for decades to come."

Datuk Ir. Bacho Pilong
Senior Vice President, Malaysia Petroleum Management

Malaysia Bid Round 2025 Sustains Upstream Investment Momentum and Activates New Frontiers

Investor interest in Malaysia's upstream sector remained robust in 2025, anchored by the Malaysia Bid Round 2025 (MBR 2025). This round offered five exploration blocks and three Discovered Resource Opportunity (DRO) clusters across key basins, spanning a diverse range of geological settings and opportunity types. This breadth has reinforced sustained investor engagement and confidence in Malaysia's petroleum potential, while supporting the alignment of resource development with evolving demand centres and broader industrial growth.

In parallel, MPM advanced subsurface and seismic activities in frontier and under-explored areas to enhance geological understanding and improve data availability to further de-risk exploration.

This technical groundwork matters because much of Malaysia's remaining hydrocarbon potential lies within increasingly complex plays. While 40 billion barrels of oil equivalent (boe) have been discovered to date, an estimated 21 billion boe remain classified as 'yet-to-find', predominantly in deepwater areas that demand higher capital intensity and advanced technological capabilities. In response, our focus remains on sustaining investor confidence while strengthening technical readiness to unlock these complex, capital-intensive upstream opportunities.



PETRONAS Senior Vice President of MPM, Datuk Ir. Bacho Pilong, delivering a keynote at Malaysia Bid Round 2025.

"We delivered a year of strategic transformation and disciplined execution, strengthening Upstream's ability to generate value across domestic and international basins. We progressed from forming new global collaborations and unlocking potential frontiers to advancing high-impact drilling results and deploying differentiated technologies at scale. In Malaysia, these efforts strengthened our position in the energy sector, while responsibly expanding the resource base."

Mohd Jukris Abdul Wahab
Chief Operating Officer, Executive Vice President and Chief Executive Officer, Upstream

Multiplying Upstream Value through PETRONAS' First Satellite Business Model

We continue to deliver advantaged hydrocarbons with lower costs and emissions while strengthening differentiated business and partnership models. As part of this, we have embarked on our first satellite business model with Eni, establishing a dedicated growth platform that strengthens capital efficiency, enables risk-sharing and accelerates upstream development across Southeast Asia. The proposed entity will consolidate 19 upstream assets in Malaysia and Indonesia, pooling approximately 3 billion boe of reserves and unlocking up to 10 billion boe of exploration potential, with a targeted medium-term production rate of around 500 thousand boe per day. Supported by planned CAPEX exceeding USD15.0 billion over five years, the model enhances value transparency and enables PETRONAS to scale selected assets through partnerships and differentiated funding structures.

Point of Interest

The satellite structure separates selected upstream assets into a dedicated platform, allowing PETRONAS to unlock value from mature and growth assets while retaining strategic oversight. This model enables faster development, shared investment and portfolio optimisation without diluting the strength of the Group's core upstream business.



PETRONAS' partnership with Eni will create a dedicated growth platform that strengthens capital efficiency, enables risk-sharing and accelerates upstream development across Southeast Asia.

Core Business
More Energy, Less Emissions

Unlocking New Gas Growth

We achieved a significant milestone in Suriname with the Declaration of Commerciality for the Sloanea offshore gas discovery. This development represents the basin's first commercial gas project and marks an important step in establishing a scalable, LNG-aligned gas growth platform. A subsequent offshore oil discovery further enhances the potential for an integrated oil and gas development, strengthening the long-term value proposition of the basin.

Building on this momentum, we secured three new Production Sharing Contracts (PSCs) in Suriname and marked our inaugural entry into Guyana through the award of Block S4. These strategic additions expanded our exploration portfolio in proven hydrocarbon basins, underpinned by encouraging well results from offshore Suriname, strengthening regional synergies and reinforcing our position in one of the world's most prolific petroleum provinces.

In Brunei, the Kelidang Cluster Development reached Final Investment Decision, marking the country's first ultra-deepwater gas project. The development incorporates advanced subsea and floating production technologies and is expected to play a key role in securing long-term gas supply to Brunei LNG.


Representatives from PETRONAS, Government of Guyana, TotalEnergies and QatarEnergy celebrating the momentous milestone together.

Advancing Portfolio High-Grading through Strategic Partnerships

Strategic partnerships support our upstream portfolio high-grading by unlocking value from mature assets, sharing development risks and enabling regional expansion. In Malaysia, collaboration with TotalEnergies expanded through a Strategic Cooperation Framework Agreement and two Farm-Out Agreements, improving capital efficiency and execution across Malaysian acreage. Portfolio optimisation also progressed through targeted operatorship transfers that strengthened operational focus and development efficiency.

Internationally, growth continued through selective partnerships and PSCs that balance risk and returns. Strategic Memoranda of Understanding were signed with Oman's OQ Exploration and Production New Ventures and Dragon Oil to extend our presence in the Middle East and Central Asia. In Indonesia, the Serpang and Binaiya PSCs strengthened the oil portfolio with short- to medium-term development upside. We also initiated a technical joint study with Petrovietnam to evaluate hydrocarbon potential in open oil and gas blocks, while an extension of a PSC in Turkmenistan, supported by a long-term gas sales agreement, strengthened the integrated gas position.

Vestigo, a wholly-owned subsidiary of PETRONAS focused on managing and optimising mature upstream assets, advanced this partnership-led approach through its first international collaboration with Pertamina.


Memorandum of Understanding (MoU) Signing Ceremony between Dragon Oil and PETRONAS Carigali International Ventures.

Accelerating Upstream Value through AI, Digital and Technology

Digital and technology innovation accelerate time to value and maximise performance across our Upstream portfolio. AI, advanced analytics and digital platforms enhance decision speed, strengthen operational reliability and unlock greater resource value across our global assets. We are scaling digital and AI solutions to enhance exploration insight, improve operational reliability and optimise field performance.

- **Powering Exploring through AI**
  We advanced the adoption of AI across our Upstream value chain through TriCiptaAI, our flagship AI venture with Beicip Franlab Asia and AFED Digital. In November 2025, two initial applications, AI.SEEK and Global Exploration Basin, delivered their first minimum viable products, using AI-driven basin benchmarking that integrates geoscience datasets to support faster and more informed exploration decisions. A Joint Development Agreement formalised at the Abu Dhabi International Petroleum Exhibition and Conference 2025 expands the collaboration into Exploration AI and Production AI, strengthening operational efficiency, improving investment decisions and unlocking additional value across our Upstream portfolio.

- **Predicting Failures Before They Happen**
  Our award-winning Predictive Rotating Equipment Analytics (PROTEAN™) uses machine learning to predict equipment failures before they occur, improving production reliability. Deployed across Malaysia and international assets, PROTEAN™ monitors over 350 critical rotating equipment items, helping to avoid unplanned downtime and production losses, reducing maintenance costs and improving asset reliability in 2025.

- **Saving Time, Optimising Resources**
  Enhanced Resource Monetisation Artificial Intelligence (ERMAI), our in-house AI solution, analyses subsurface data to identify opportunities faster, reducing analysis time from approximately six days to a mere six seconds. The platform enhances reserve recovery by identifying bypassed hydrocarbons through the Behind Casing Opportunity and enabling smarter drilling through the Real-Time Petrophysics. By minimising non-productive time and avoiding costly interventions, ERMAI delivered significant value uplift from improved reserve recovery in 2025.

- **Turning Data into Production Upside**
  Integrated Asset Management (IAM) transforms how fields are monitored and optimised by combining physics-based models with near real-time data. IAM enables faster identification of production optimisation opportunities and sharper surveillance practices. IAM has been deployed across eight fields, contributing measurable improvements in production efficiency and value realisation in 2025.

Point of Interest

TriCiptaAI enables global basin screening and prospect ranking on demand, significantly shortening early exploration cycles and accelerating exploration decision-making.


The flagship TriCiptaAI venture was commemorated at an Exchange of Documents ceremony in Abu Dhabi, United Arab Emirates, in November 2025.

Core Business

More Energy, Less Emissions

- ## Driving Innovation in Subsurface Imaging

  Exploration Platform for Integrated Computing (EPIC) 2.0, our next-generation high-performance computing platform, went live in September 2025 to enable faster, more accurate subsurface imaging. Building on EPIC 1.0, the platform uses parallel processing and advanced seismic techniques to handle more complex datasets and shorten processing time. By supporting priority projects in Suriname, Turkmenistan and Malaysia, EPIC 2.0 is helping teams reduce subsurface uncertainty and make better-informed exploration and development decisions as demand for seismic imaging continues to grow.

- ## Making Underwater Inspections Safer and Faster

  The Hovering Autonomous Underwater Vehicle (HAUV) offers a safer and more efficient way to inspect underwater structures by replacing diver-led inspections with high-precision, remotely operated technology. Using autonomous General Visual Inspection with intelligent station-keeping, HAUV maintains stability in currents and waves, captures accurate measurements and collects inspection data without human intervention. Pilot deployment at a platform in Sarawak, Malaysia in October 2025 demonstrated faster inspections, improved safety and lowered inspection costs by up to 50 per cent compared with traditional methods.

- ## Improving Decision-Making through Better Reservoir Modelling

  The Upstream Exploration and Development Modelling Programme improves how reservoirs are modelled and decisions are made by replacing fragmented workflows with integrated, data-driven approaches. By combining scalable earth modelling with uncertainty-focused ensemble modelling, Upstream Exploration and Development Modelling enables more consistent subsurface models, earlier risk assessment and faster project maturation across exploration, development and improved oil recovery opportunities. Rolled out across Malaysia and Suriname in 2025, the programme enables more confident decision-making and higher productivity through better use of seismic, well and production data.

- ## Well Intervention Fluid-Friction Modifier

  Water-based well intervention fluid-friction modifier (WIF-FM) is a specialty additive developed to address recurring field challenges where friction, drag and equipment stress limit tool reach, increase wear and complicate interventions in horizontal and deviated wells. WIF-FM has unlocked incremental production value by reactivating previously idle wells through more efficient and reliable interventions. It reduced intervention costs and equipment wear, improving safety, extending asset life and enabling sustainable well performance.

- ## Integrated Smart Desander System

  PETRONAS addressed sand management challenges by installing an Integrated Smart Desander System with online sand monitoring. Commissioned in October 2025, this dual-barrier system uses cyclonic separation and real-time monitoring to remove sand monthly from a previously idle well.

  The solution restored stable operations, enabled 2 to 4 million standard cubic feet per day gas production and created a scalable model for high-sand wells across the Duyong field.

- ## Functionalised Graphene Oxide Rust Converter

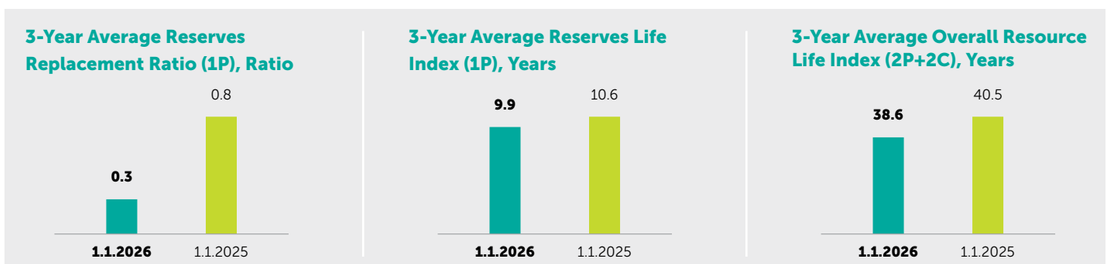
  Functionalised Graphene Oxide (F-GO) Rust Converter, is a corrosion control technology designed for situations where traditional surface preparation is impractical due to cost, access or safety constraints. It converts existing rust into a stable layer for coating, reducing the need for abrasive blasting or complete rust removal. F-GO streamlines maintenance, cuts complexity, shortens execution time and can reduce costs by up to 60 per cent. It also enhanced asset integrity and safety through a scalable corrosion management solution that extends asset life and lowers life cycle costs.

2025 Performance Metrics

(i) Annual Review of Petroleum Resources 1 January 2026 Reserves and Contingent Resources



(ii) Reserves and Resources Performance Indicators



As at 1 January 2026, PETRONAS' total petroleum 2P Net Entitlement Reserves stood at 7.92 billion barrels of oil equivalent (boe), representing an 8 per cent decrease compared with 2024. Total Net Entitlement 2C Contingent Resources amounted to 13.16 billion boe, reflecting a 13 per cent reduction over the same period.

These movements reflect portfolio rationalisation efforts during the period, alongside continued project maturation activities. Looking ahead, we are pursuing a combination of organic and inorganic initiatives to reinforce the resilience and sustainability of our Reserves and Resources base.

Core Business

More Energy, Less Emissions

Our Challenges and Opportunities

Market Context

Portfolio high-grading, resource replenishment and decarbonisation imperatives call for stronger capital discipline, higher operational efficiency and lower-carbon production.

Strategic Response

- Accelerated portfolio high-grading with disciplined capital allocation towards value-accretive, low-cost and lower-carbon assets.
- Strengthened delivery of advantaged barrels through differentiated technical and commercial capabilities and faster time-to-value.
- Progressed physical decarbonisation by reducing flaring and venting, improving hydrocarbon and contaminant management, enhancing energy efficiency and adopting renewable energy solutions, while advancing carbon capture and storage (CCS) enablement.

Impact

- Strengthened portfolio resilience and cost competitiveness across the Upstream value chain.
- Lowered emissions intensity while sustaining long-term value creation and energy security.

Our Outlook

Short-term

We prioritise portfolio high-grading, directing capital towards value-accretive, low-cost and lower-carbon assets. Exploration continues to sustain the long-term viability of our resource base, supported by disciplined execution in Malaysia and selective expansion across international portfolios. Strategic partnerships and differentiated technical and commercial capabilities accelerate time-to-value and strengthen portfolio value. We continue to advance decarbonisation through targeted energy efficiency initiatives, methane management, flaring reduction and CCS solutions.

Medium- to Long-term

We focus on building a competitive and resilient portfolio that supports energy security and sustainable shareholder value in a lower-carbon environment. This will result in a more focused, resilient and value-dense portfolio, supported by the delivery of advantaged oil and gas products, at a lower cost, lower-carbon and higher margin production and an increasingly digital and AI-enabled operating model strengthening operational excellence. We also embed Net Zero Carbon Emission Facilities (NZCEF) principles in new field developments through upfront design solutions that integrate energy efficiency, methane management, zero routine flaring and CCS solutions.

Gas and Maritime

"PETRONAS' LNG business is anchored on a strong, asset-backed supply base across Malaysia and our international positions, providing the scale, reliability and flexibility our customers depend on. Supported by our integrated shipping and maritime capabilities, we are able to deliver LNG safely and efficiently to markets worldwide, reinforcing our role in strengthening energy security through a diversified LNG portfolio."

Datuk Adif Zulkifli
Executive Vice President and Chief Executive Officer, Gas and Maritime

Strengthening our Position as a Global LNG Supplier

PETRONAS continues to diversify our supply nodes to better serve our customers. Through the newly operational LNG Canada, the first large-scale LNG export facility in Canada, we strengthened our LNG supply reliability as capacity of the plant was ramped up with Train 1 entering service in June and Train 2 in November 2025. Our first LNG cargo sailed in July 2025 to Japan, establishing another supply source that has a direct and efficient shipping route to North Asian markets.

Meanwhile, we continue to mature the progress of our third floating LNG. The hull was launched in February 2025, followed by completion of topside installation in November 2025. These milestones strengthen our readiness and reinforce our capabilities as a leading operator of floating LNG facilities and further strengthen our position as a global LNG supplier.



LNG cargo departure from the LNG Canada facility in Kitimat, Canada.



Hull launch at Samsung Heavy Industries (SHI) Shipyard, South Korea.

Point of Interest

LNG Canada is positioned as a leading source of lower-carbon LNG, underpinned by one of the world's lowest emissions intensities at approximately 0.15 tonnes of CO_2 equivalent per tonne of LNG production. As Canada's first LNG export facility, it plays a pivotal role in diversifying global LNG supply and strengthening energy security for Pacific markets. With Phase 2 development underway to potentially double production capacity, the project represents a long-term, scalable platform that supports the global energy transition while delivering reliable supply amid evolving market and decarbonisation demands.

Scan the QR code to know more about PETRONAS' first LNG cargo from the LNG Canada facility.

Expanding LNG Supply, Delivery Capability and Partnerships

Beyond investment in LNG facilities, our supply diversification also includes an asset-light approach. Through third-party offtakes, we added approximately 4 million tonnes per annum (MTPA) from new sale and purchase agreements with Commonwealth LNG, Woodside Energy Trading Singapore, Venture Global and Pembina. We employed a novel commercial structure that allows us to secure liquefaction capacity with zero capital investment.

In order to ensure seamless deliveries to our customers, we added eight new LNG carriers - Puteri Mayang, Puteri Sabah, Puteri Sarawak, Puteri Pahang, Puteri Selangor, Puteri Terengganu, Puteri Perlis and Puteri Perak. These new ships will support higher volumes and trading activities, while enhancing operational flexibility across the LNG value chain.

As part of our portfolio high-grading strategy, PETRONAS entered into a long-term strategic partnership with MidOcean Energy, introducing MidOcean as a 20 per cent equity partner in both the North Montney Upstream Joint Venture and the North Montney LNG Limited Partnership. The partnership enhances PETRONAS' gas position by bringing in a strategic partner across both upstream resource development and LNG production.

Core Business

More Energy, Less Emissions

Advancing Power and Infrastructure Business

We strengthened our presence in the power and infrastructure business during the year. This included receiving the Letter of Nomination for the development of a 120-megawatt gas-fired power plant in Labuan, Malaysia. The development will support power system stability and contribute to future economic growth in the region.

PETRONAS Gas Berhad (PGB) also progressed a new fibre optic infrastructure initiative that leverages our existing gas pipeline network to deploy fibre connectivity infrastructure. The project is expected to strengthen connectivity, enhance real-time monitoring capabilities and support greater operational reliability.



The Rancha power plant will help deliver reliable supply to meet residential, commercial and industrial energy needs.

Progressing Liquefied Carbon Dioxide Shipping and Vessel Capabilities

In the maritime segment, we continue to expand our capabilities while supporting our Energy Transition Strategy. The incorporation of Jules Nautica, a joint venture between PETRONAS CCS Ventures (PCCSV), MISC and Mitsui O.S.K Lines, marks a major step toward designing, building and operating Liquefied Carbon Dioxide (LCO_2) carriers to enable the safe and efficient transport of captured CO_2 to offshore storage sites. The design, developed with Shanghai Merchant Ship Design & Research Institute has received Det Norske Veritas (DNV) General Approval for Ship Application (GASA) certification, positioning PETRONAS at the forefront of regional CO_2 shipping solutions and unlocking cross-border CCS opportunities.

MISC also supported maritime capabilities for the wider industry. We expanded our fleet capability through the delivery of seven consortium-owned next-generation LNG carriers, including two that are fully operated by MISC, namely Mihzem and Idd Al Shargi, delivered as part of QatarEnergy's LNG expansion programme. Time charter party agreements with PTT for two new-build Very Large Ethane Carriers further expanded our shipping portfolio.

Offshore, the Floating Production, Storage and Offloading (FPSO) Marechal Duque de Caxias reached its nameplate oil production capacity within its first year of operations, achieving stable post-start-up performance while maintaining a Lost Time Injury-free safety record.



The Jules Nautica joint venture underscores the importance of cross-border collaboration in the region's lower-carbon transition.

Integrated Emergency Response and Recovery

PETRONAS activated its emergency response framework following the April 2025 fire incident involving PGB's Peninsular Gas Utilisation (PGU) pipeline near Putra Heights, Subang Jaya, Malaysia, containing the situation while the relevant authorities evacuated the surrounding communities. Following the incident, we prioritised transparent engagement with affected communities, working closely with state and federal agencies. Relief efforts and volunteer supports were mobilised at temporary centres to assist displaced families and ensure their safety.

We worked closely with government agencies and relevant authorities to restore and maintain gas supply as quickly as possible in a safe manner towards ensuring uninterrupted energy access.

We also strengthened community engagement and expanded outreach along pipeline corridors to improve dialogue with residents and authorities. PETRONAS continues to collaborate with stakeholders where development intersects with pipeline infrastructure to support safe, long-term coexistence.

2025 Performance Metrics

Gross LNG Sales
(million metric tonnes)



Overall Equipment Effectiveness
(%)



Our Challenges and Opportunities

Market Context

LNG is increasingly recognised as a destination fuel in the energy transition. Meanwhile, domestic energy demand is projected to grow in line with the expansion of data centres. There is expected to be an increasing reliance on gas as the retirement of coal-fired power plants commences from 2029 onwards. In terms of challenges, plant reliability, ageing infrastructure and supply disruptions have highlighted the need to improve system reliability and operational agility.

Strategic Response

- Accelerated reliability investments, pipeline integrity programmes and supply rebalancing.
- Strengthened monitoring and analytics to improve responsiveness.

Impact

- Enhanced supply reliability and reduced operational risk.

Our Outlook

Short-term

We are expanding our LNG supply portfolio with a focus on identified growth projects in Canada and Malaysia, while maximising value from existing assets by driving operational excellence and delivery performance. Under our Maritime segment, efforts will centre on strengthening core operations, expanding into new energy solutions and enhancing our emissions reduction efforts. These will help strengthen energy security, sustain our leadership in the LNG market and realise the synergistic value of Maritime as part of our Core Business.

Medium- to Long-term

As global demand continues to grow, we remain focused on maintaining LNG market leadership while offering a suite of energy solutions tailored to customer needs. In the Maritime business, our strategic priorities include identifying new opportunities to expand our business and asset portfolio and capitalising on the global energy transition as the world evolves towards a circular economy.

Core Business
More Energy, Less Emissions

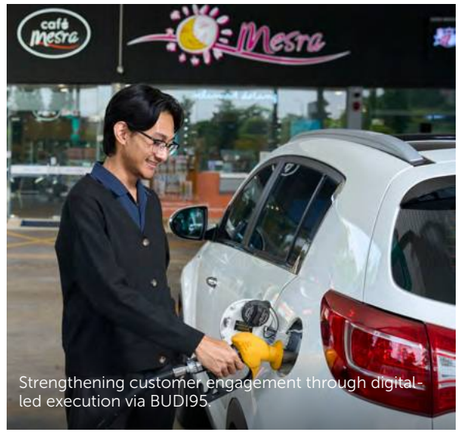
Downstream

"In the face of industry-wide margin compression and price volatility, Downstream delivered steady and reliable performance through disciplined operations, prudent cost management and focused execution. Strategic enhancements to our capabilities within the core spaces of petrochemicals, lubricants, refining, marketing and trading further sharpened our customer offerings and fortified our competitiveness. These outcomes reflect our commitment to operational and commercial excellence, delivering safe, competitive and customer-centric solutions across the Downstream value chain."

Datuk Sazali Hamzah
Executive Vice President and Chief Executive Officer, Downstream

Executing BUDI95 with Excellence for Our Customers and Nation

The BUDI MADANI RON95 (BUDI95) fuel subsidy programme, rolled out in September 2025 nationwide, was implemented across PETRONAS Dagangan Berhad (PDB)'s retail and digital platforms. The programme was operationalised at scale while strengthening customer engagement through digital-led execution. We coordinated across our retail operations, digital capabilities and payment platforms to maintain transaction continuity and deliver a consistent forecourt experience. The Setel™ app anchored the rollout as the first fully integrated platform, supporting customer onboarding and usage. The positive response reflected strong digital adoption, with the Setel™ user base expanding from 8 million to over 11 million by year-end. Customer traction increased by 31 per cent, while digital transactions adoption grew across PETRONAS stations.



Strengthening customer engagement through digital-led execution via BUDI95.

Expanding Our Brand Presence

We continue to advance our international retail participation through a structured brand-licensing model, enabling market entry with zero CAPEX. By leveraging partner capabilities and in-market infrastructure, this approach supports scalable expansion while creating long-term enterprise value.

Through PETRONAS' brand licensing initiative, our collaboration with SIM Distribuidora in Brazil has accelerated market entry, expanding the retail network from three PETRONAS-branded stations in 2024 to 102 stations by the end of 2025. The branded forecourt network establishes a scalable channel for us to extend access to our full suite of fluid technologies, spanning fuels, lubricants and beyond.

The model has also enabled broader enterprise participation across the Group by design, reflecting the deliberate embedding of alternative profit opportunities. Phase One of the TipTop Enterprise App (TEA App) was rolled out in October 2025 to support retail coordination, alongside PETRONAS Trading Corporation (PETCO), the Group's trading arm, pursuing product supply opportunities into Brazil.

We continue to integrate digital capabilities and trading activities to enhance connectivity across the value chain, supporting a more coordinated and scalable approach to enterprise participation.

Point of Interest

PETRONAS has introduced a structured retail brand-licensing model to scale our international presence through partnerships with established local operators. This model enables us to extend our PETRONAS brand, technology and digital solutions through shared frameworks and systems, while partners invest in and operate the stations in compliance with local regulations. This zero-CAPEX model enables faster market entry and scalable growth.

Elevating Fleet Performance

Commercial fleets continue to operate amid changing transport demands and tightening emissions requirements, placing greater emphasis on efficiency, reliability and engine performance. PETRONAS Lubricants International (PLI) introduced the enhanced PETRONAS Urania range, strengthening its flagship lubricant offering for commercial vehicles. The upgraded range harnesses PLI's proprietary StrongTech™ technology to deliver longer oil life, improved fuel economy, enhanced engine protection and maximised uptime, helping fleets run efficiently even as emission standards tighten and usage patterns evolve. Simplified product navigation and value-added support services that complement the product offering make it easier for fleet operators and mechanics to select and apply the right solution.

Operational Resilience Underpins Strong Plant Utilisation

PETRONAS Chemicals Group (PCG) demonstrated resilience in the face of operational disruptions during the year, notably the utilities interruption at the Kertih Integrated Petrochemical Complex. Temporary feedstock constraints were also experienced following the April 2025 fire incident at the PETRONAS Gas Berhad (PGB) main pipeline near Putra Heights, Subang Jaya, Malaysia, in a separate incident. These events posed short-term challenges to production continuity across selected operations.

Despite these headwinds, the Group maintained an overall plant utilisation rate of 88 per cent, reflecting the resilience of PCG's asset base, supported by effective cross-plant coordination and operational planning.

While operations were stabilised and available capacity optimised across the network, these challenges underscore the importance of sustaining operational excellence through enhanced reliability, strengthened feedstock security and disciplined execution.

Streamlining Inspection Workflows

The Machine Vision and Inspection Workflow Management System (MAVIS) contributes to cost optimisation by streamlining end-to-end inspection workflows through a single, integrated digital platform. It replaces fragmented and manual processes previously used for inspection reporting, PETRONAS Risk-Based Inspection updates and recommendation action management.

Pilot deployments across selected operating units have demonstrated improvements in Process Cycle Efficiency, resulting in reduced manhours and optimisation of external inspection and clerical resources. Improved data quality and faster turnaround also reduce rework, reporting delays and value leakage, supporting sustainable cost efficiency while maintaining regulatory compliance and asset integrity performance.

Early Detection of Operational Risks

The Dynamic Risk Analyser (DRA) is an advanced risk analytics and early-warning platform that continuously monitors real-time process and equipment data. It detects hidden anomalies and near-miss events, enabling proactive identification of emerging operational risks before they escalate into incidents or unplanned shutdowns.

Its implementation enhances operational reliability and on-stream efficiency by providing early warnings for abnormal behaviour, allowing timely intervention and reducing unexpected trips and downtime. DRA also strengthens process safety management through improved risk visibility, structured anomaly prioritisation and continuous monitoring, while fostering better collaboration between operations and technical teams.

Core Business

More Energy, Less Emissions

2025 Performance Metrics

Petroleum Products Sales

(million barrels)

** Excluding volume from the divested Engen Group in 2024*



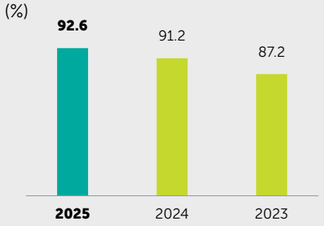
Chemical Products Sales

(million metric tonnes)



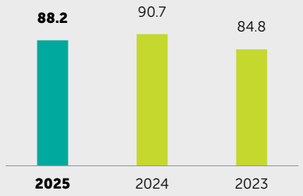
Downstream Overall Equipment Effectiveness

(%)



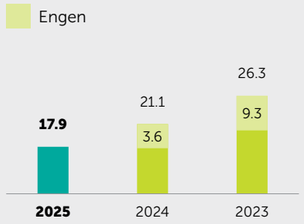
Petrochemical Plant Utilisation (Nexant)

(%)



Overall Marketing Sales Volume

(billion litres)



Our Challenges and Opportunities

Market Context

Changing market conditions and evolving customer expectations highlighted the need for more resilient operations and higher-value, solutions-based offerings.

Strategic Response

- Strengthened cost discipline, asset reliability and customer-centric products across lubricants, commercial fuels and retail.
- Expanded partnerships and service-led solutions.
- Innovated and diversified the existing core portfolio to better serve customer needs.

Impact

- Strengthened the Downstream portfolio domestically and internationally.
- Sustained customer retention reinforces strategic positioning to continue delivering long-term value to shareholders and stakeholders.

Our Outlook

Short-term

We enhance operational efficiency and asset reliability by optimising production and strengthening safe, reliable operations across our refineries and chemical plants to sustain competitiveness and strengthen resilience. Despite volatile markets, we are strengthening supply chain robustness and expanding our product offerings to meet evolving customer and market needs.

Medium- to Long-term

We continue to drive operational and commercial excellence across our Downstream assets through sustained investments to deliver safe, reliable and efficient operations, while building a more diversified and resilient energy resource to support global demands for future energy solutions. This helps PETRONAS adapt to changing market dynamics and supports a stronger position in the downstream sector.

New Business

Capturing New Growth Opportunities

Focus Areas

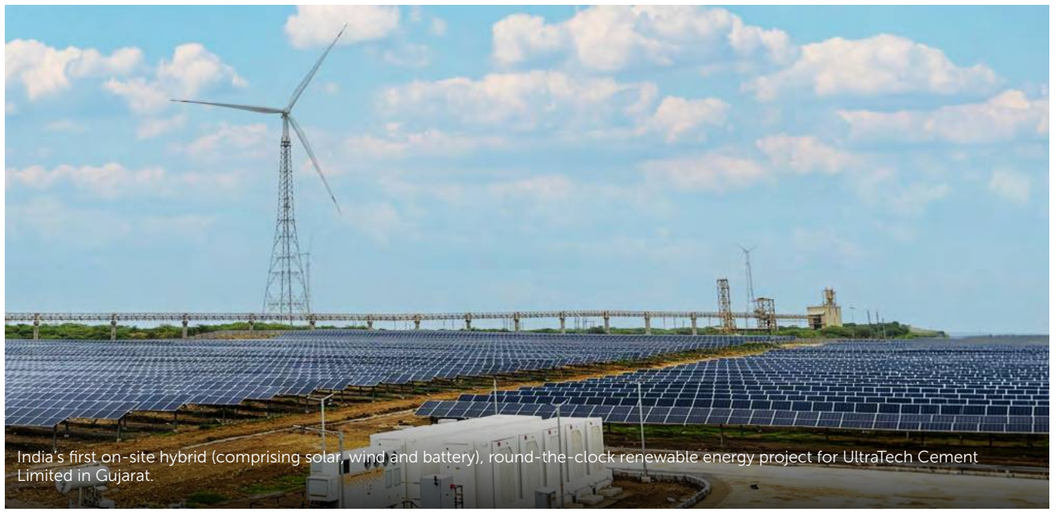
PETRONAS' New Business strategy focuses on developing and scaling ventures beyond its traditional core activities to future-proof our business portfolio, enhance resilience and respond to evolving customer and energy-transition needs. These ventures progress through a combination of organic growth and selective inorganic opportunities, supported by partnerships, technology deployment and the development of new capabilities across the Group.

Renewable Energy

> *Regional integration is progressing across our businesses, supported by collaborations that enable clean energy solutions to extend beyond individual markets."*
>
> **Sushil Purohit**
> *Group Chief Executive Officer, Gentari*

Scaling Global Renewable Capacity to 9.1 GW

We continued to expand our renewable energy footprint through our clean energy subsidiary, Gentari, reaching a cumulative installed and under construction capacity of 9.1 gigawatts (GW) across solar, wind and battery energy storage projects. Growth was driven by disciplined execution across priority Asia Pacific markets, supporting PETRONAS' Energy Transition Strategy through the delivery of commercially viable clean electricity solutions. Gentari's portfolio spans utility-scale and commercial and industrial renewable energy projects, integrated renewable-plus-storage facilities, and enabling infrastructure. These assets are designed to operate with existing power systems, contributing to grid flexibility and energy security while supporting customers' decarbonisation objectives.



India's first on-site hybrid (comprising solar, wind and battery), round-the-clock renewable energy project for UltraTech Cement Limited in Gujarat.

New Business

Capturing New Growth Opportunities

Driving Tangible Steps towards Regional Power Interconnectivity

We participated in a Joint Development Agreement to explore renewable electricity exports from Vietnam to Malaysia and Singapore, advancing regional power integration across ASEAN. Through the MY Energy Consortium, established with Tenaga Nasional, the initiative evaluates Vietnam's renewable energy potential, with an initial focus on offshore wind, and explores cross-border transmission frameworks to enable clean electricity trade.

This collaboration with PetroVietnam Technical Services Corporation and Sembcorp Utilities supports the development of regional power connectivity while expanding access to larger renewable electricity markets and strengthening energy diversification across Southeast Asia.



Advancing cross-border renewable electricity trade to accelerate ASEAN's transition to a lower-carbon energy system.

Reaching Production Phase in Wind Energy

The Hai Long Offshore Wind Project achieved first power delivery to Taipower's grid, marking a key milestone in Gentari's offshore wind portfolio. The project progressed through construction and commissioning activities, including offshore and onshore substations and phased turbine connections, advancing towards full commercial operations.

Our participation in one of Asia Pacific's largest offshore wind developments strengthens Gentari's execution capability in complex marine construction, grid integration and partnership delivery, supporting disciplined expansion into utility-scale offshore renewables.

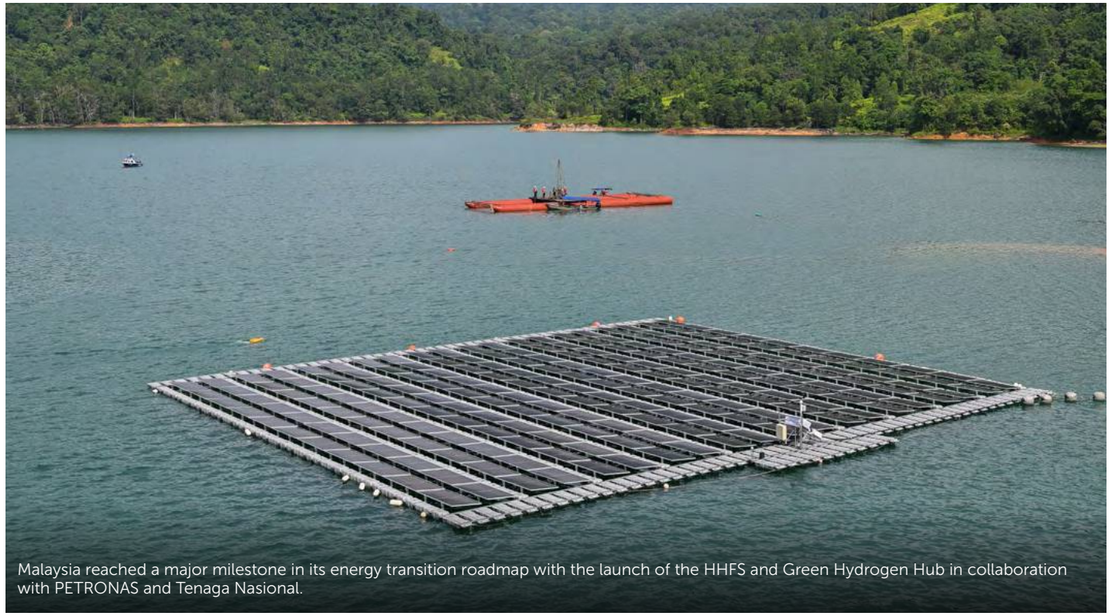


Installation of an offshore wind turbine at the Hai Long Offshore Wind Project, off the Changhua coast.

Hybrid Renewable Power

We supported the launch of Malaysia's first Hybrid Hydro Floating Solar (HHFS) and Green Hydrogen Hub at Kenyir, Terengganu, Malaysia, integrating floating solar with existing hydropower infrastructure at the Sultan Mahmud Hydro Electric Power Station. Delivered in collaboration with Tenaga Nasional and Terengganu Inc., the HHFS initiative represents Malaysia's first deployment of hybrid hydro-floating solar at this scale. The project explores hybrid generation by optimising the use of water surfaces while leveraging hydropower operations to support grid stability.

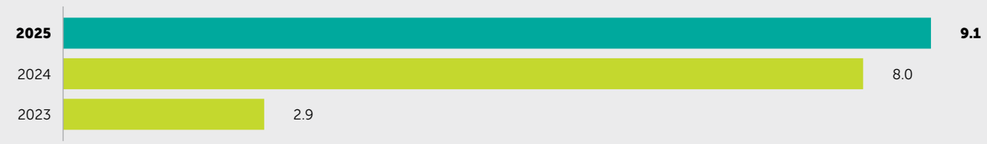
This pilot aligns with Malaysia's National Energy Transition Roadmap (NETR) and Hydrogen Economy and Technology Roadmap (HETR) by advancing integrated clean energy pathways within a single site. It provides an operational reference for assessing the technical and system-level considerations of hybrid renewable solutions for potential future applications.



Malaysia reached a major milestone in its energy transition roadmap with the launch of the HHFS and Green Hydrogen Hub in collaboration with PETRONAS and Tenaga Nasional.

2025 Performance Metrics

Renewable Energy Total Capacity
(gigawatt)
Installed and under construction



Notes:
1. For 2024 and prior, the measurement is renewable energy capacity only.
2. For 2025, the measurement is renewable energy and storage capacity.

New Business

Capturing New Growth Opportunities

Our Challenges and Opportunities

Market Context

Grid constraints, pricing volatility and growing demand for firm and dispatchable renewable power highlighted the need for scalable solutions that improve cost competitiveness, system flexibility and operational reliability.

Strategic Response

- Prioritised utility-scale renewable projects to improve cost competitiveness and reduce the levelised cost of electricity.
- Increased focus on hybrid configurations, including renewable-plus-storage solutions, to enhance dispatchability and time-shift value.
- Strengthened project delivery discipline to manage cost, schedule and supply chain pressures.
- Enhanced asset management practices to sustain operational performance and long-term value.

Impact

- Improved portfolio resilience against grid constraints and pricing volatility.
- Strengthened revenue stability through longer-duration and dispatchable renewable solutions.
- Maintained competitiveness amid supply chain pressures and cost inflation.
- Strengthened long-term asset performance and portfolio value.

Our Outlook

Short-term

We continue to focus on strengthening delivery excellence in priority markets by progressing renewable energy projects from development into execution across Malaysia, India, Australia and the broader Asia-Pacific region as detailed below.

- Advancing the Large-Scale Solar (LSS) 5 project in Malaysia towards groundbreaking in 2026.
- Progressing the Karur Wind Power Project in India towards operations in 2027 under a long-term power purchase agreement.
- Delivering hybrid solar and battery energy storage system (BESS) solutions through the Maryvale Project in Australia to support grid stability.
- Advancing the Hai Long Offshore Wind Project off the Changhua coast following the achievement of first power delivery.

Efforts will continue to support rising demand for reliable, lower-carbon power, including from hyperscale data centres, through the deployment of LSS and BESS solutions. Key priorities include:

- Progressing the partnership with Gamuda under the Corporate Renewable Energy Supply Scheme (CRESS) framework to deliver up to 1.5 GW of solar and BESS capacity in Malaysia.
- Supplying wind power in India to support long-term clean energy requirements.
- Supporting national energy transition targets together with customers' decarbonisation needs.

Medium- to Long-term

We aim to expand customer-centric hybrid and BESS solutions through the rollout of co-located and standalone BESS between 2026 and 2028. This includes integrating storage capabilities into solar portfolios and capturing longer-duration, dispatchable value to support grid resilience, strengthen energy reliability and support more stable long-term revenue streams.

Specialty Chemicals

"The continued strengthening of our specialty chemicals portfolio, through new innovations, closer customer collaboration and lower-carbon capacities, positions PCG to deliver safe, reliable and differentiated solutions for long-term resilience."

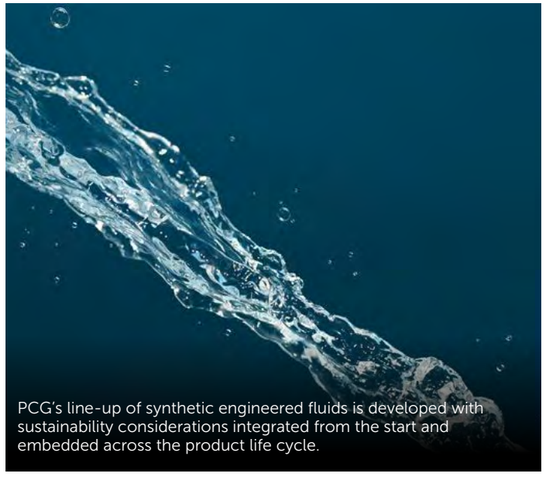
Mazuin Ismail
Senior Vice President and Managing Director/Chief Executive Officer, PETRONAS Chemicals Group

Bringing Innovation Closer to Customers in Asia

PETRONAS Chemicals Group (PCG) further strengthened specialty chemicals capabilities in Asia with the launch of the PETRONAS Application Technology Centre in Shanghai, China. The facility places advanced testing, formulation and customer collaboration closer to key growth markets, enabling faster product development cycles and more responsive technical support. This move enhances PCG's ability to co-create high-performance solutions with customers across industrial lubricants, coatings, engineered fluids and more.



Specialty chemicals facility at the PETRONAS Application Technology Centre in Shanghai, China.



PCG's line-up of synthetic engineered fluids is developed with sustainability considerations integrated from the start and embedded across the product life cycle.

Expanding High-Performance Synthetic Fluids Portfolio

We expanded our synthetic polyol ester portfolio within the Engineered Fluids Solutions segment, strengthening presence in high-performance thermal management applications. This expansion reinforces PCG's shift toward differentiated, technology-driven specialty segments that support more resilient margins while addressing evolving environmental standards.

Point of Interest

Synthetic polyol ester fluids are increasingly used in advanced thermal management systems for high-density electronics, electric vehicles and data centres. Their chemistry can also be engineered for improved biodegradability and low toxicity compared with conventional mineral-oil-based fluids.

New Business

Capturing New Growth Opportunities

Broadening the Emfinity® Bio-Based Portfolio

Building on the introduction of Emfinity® CGSA 200B in 2024, we extended our reach in the bio-based personal care sector through the expansion of our Emfinity® portfolio with two new variants: CGSA 50B for haircare and CGSA 600B for cosmetics. The new products debuted at in-cosmetics Asia 2025 and scaled Emfinity® applications across a broader range of personal care formulations. Produced at PETRONAS Research Sdn Bhd's pilot plant, the new variants are being introduced to selected customers to support early trials and adoption.

2025 Performance Metrics

Specialty Chemicals Sales Volume
(kilometric tonnes)



Our Challenges and Opportunities

Market Context

Volatile market conditions, margin pressure and rising demand for differentiated and sustainable solutions highlighted the need to strengthen portfolio quality and innovation-led growth.

Strategic Response

- Prioritised higher-value specialty segments and maximised value from established capabilities and expertise through BRB and Perstorp.
- Accelerated product innovation and application development through closer customer collaboration.
- Leveraged strategic partnerships to expand market access and strengthen technical capabilities.

Impact

- Improved resilience against market volatility and sustained demand in targeted segments.
- Strengthened competitive positioning through differentiated products.
- Supported more stable earnings and long-term portfolio strength.

Our Outlook

Short-term

We continue to strengthen the portfolio by maximising value from existing capabilities, including through BRB and Perstorp. Our efforts will focus on identifying high-potential growth segments and applications to support more resilient earnings, accelerating product development and innovation to meet evolving customer requirements, and enhancing operational and commercial integration across specialty chemicals operating units to improve execution and time-to-market.

Medium- to Long-term

Our focus remains on expanding the specialty chemicals business beyond its current footprint through selective and strategic acquisitions, advancing priority growth projects to scale capabilities and broaden market presence, and implementing targeted market expansion strategies in selected geographies and end sectors. These efforts support the development of a robust pipeline of differentiated specialty products.

Bio-Based Value Chain

"The development of our bio-based value chain reinforces PETRONAS' role as an enabler of Malaysia's net zero commitment while supporting the national energy transition through future fuels. The biorefinery provides a strategic platform to scale capabilities, build partnerships and strengthen market readiness. It also positions us to meet the rising demand for lower-carbon fuels with commercially viable solutions, particularly in the aviation and transport sectors facing increasingly stringent emissions requirements."

Jazlinawati Osman
Vice President, Refining, Marketing and Trading



Groundbreaking ceremony of PETRONAS' first biorefinery at the Pengerang Integrated Complex, Johor, Malaysia.

Breaking Ground on PETRONAS' First Biorefinery in Pengerang

We moved into the execution phase of our renewable fuels strategy with the groundbreaking of our first biorefinery at the Pengerang Integrated Complex (PIC), which is targeted to commence operations by the second half of 2028.

The biorefinery will convert renewable feedstock into Sustainable Aviation Fuel (SAF), renewable diesel (also known as Hydrogenated Vegetable Oil, or HVO) and bio-naphtha, expanding our portfolio into lower-carbon fuels.

Strategic partnerships with Enilive and Euglena strengthen technology readiness and support sustainable feedstock development. Enilive contributes bio-refining technology and operational expertise, while Euglena provides innovative feedstock development capabilities.

Point of Interest

With a planned processing capacity of 650,000 tonnes of renewable feedstock annually, the biorefinery is designed to leverage integration within PIC, supporting feedstock flexibility and product optimisation as market demand evolves.

New Business

Capturing New Growth Opportunities

Building Commercial Readiness for Sustainable Aviation Fuel

We advanced commercial readiness for Sustainable Aviation Fuel (SAF) by delivering Malaysia's first locally blended SAF to Kuala Lumpur International Airport (KLIA) for the Malaysia Aviation Group, enabled through its integrated supply chain. The fuel was blended at PETRONAS facilities and supplied through existing logistics and distribution infrastructure via Malaysian Refining Company's multi-product pipeline, demonstrating end-to-end capability from blending to delivery. Certified to international sustainability and aviation standards, the delivery of SAF builds confidence in local supply capability. We undertook structured engagement with regional airlines, logistics providers and policymakers to align certification, offtake and deployment requirements, supporting greater SAF adoption across the aviation value chain.



Malaysia Airlines' aircraft being refuelled with the country's first locally blended SAF at KLIA.

Our Challenges and Opportunities

Market Context

Feedstock availability constraints, cost competitiveness of bio-based fuels and uneven market adoption underscored the need to build value-chain readiness ahead of scale-up.

Strategic Response

- Strengthened strategic partnerships to secure sustainable feedstock and support long-term sourcing reliability.
- Advanced commercial and operational readiness across supply, logistics and customer engagement.
- Focused market development on aviation and transportation segments with clearer regulatory drivers for lower-carbon fuels.

Impact

- Enhanced reliability in feedstock sourcing through strategic supply-chain partnerships and coordination.
- Improved readiness to scale bio-based operations through stronger integrated value chain ecosystem.
- Strengthened early positioning in priority markets and demand security for lower-carbon fuels.

Our Outlook

Short-term

We are building readiness for scale through strategic partnerships that secure sustainable feedstock and enable early market access. Efforts focus on advancing commercial and operational readiness for PETRONAS' first biorefinery, strengthening positioning in priority markets with near-term demand for lower-carbon fuels, particularly across aviation, transportation and adjacent sectors, and developing foundational capabilities across supply, logistics and customer interfaces.

Medium- to Long-term

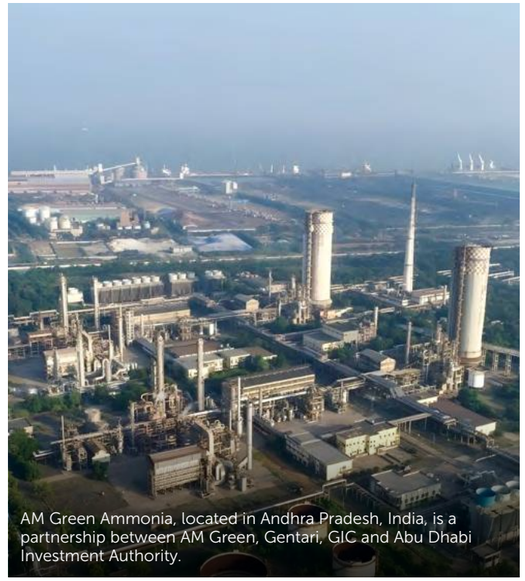
Our focus will remain on scaling the bio-based ecosystem through integrated value chain development. This includes securing long-term access to sustainable feedstock through structured sourcing arrangements and strategic collaborations, expanding market reach across aviation, transportation and adjacent sectors, and integrating bio-based offerings within PETRONAS' broader downstream portfolio to support sustained growth and long-term value creation.

Hydrogen

Building Hydrogen Readiness Across Asia and Europe

In 2025, we advanced hydrogen as a longer-term growth platform, supported by key milestones including the offtake agreement with Uniper SE via our partner AM Green for green ammonia supply, alongside broader project development and collaborations across Asia and Europe. These activities aim to strengthen the technical, commercial and partnership foundations required for hydrogen development. This supports our Energy Transition Strategy and reinforces our long-term decarbonisation objectives.

Hydrogen activities during the year remained primarily at the early development stage across multiple markets. In Malaysia, we collaborated with state and national stakeholders to assess potential pathways for lower-carbon hydrogen production and downstream applications. Across the region, partnerships and project development initiatives strengthened market understanding, ecosystem formation and risk assessment, particularly for applications in industry, power generation and heavy mobility, where direct electrification remains challenging.


AM Green Ammonia, located in Andhra Pradesh, India, is a partnership between AM Green, Gentari, GIC and Abu Dhabi Investment Authority.

Establishing a National Hydrogen Deployment Platform

We successfully delivered the Mobile Hydrogen Refuelling System (MHRS) project for NanoMalaysia, a business entity under the Ministry of Science, Technology and Innovation.

The project advances Malaysia's Hydrogen Economy and Technology Roadmap (HETR) by operationalising a practical hydrogen refuelling solution and contributing to national energy transition priorities.

Beyond its immediate deployment, the MHRS establishes a foundation for future hydrogen programmes by integrating policy alignment, technical assessment and structured implementation planning. This approach helps strengthen ecosystem readiness, reduce execution risks for future hydrogen projects and support broader investment interest in the hydrogen value chain.

The successful delivery positions PETRONAS to support future hydrogen initiatives, policy implementation and potential commercialisation opportunities as Malaysia's hydrogen ecosystem continues to evolve.

Point of Interest

The MHRS project was delivered four months ahead of the contractual schedule, meeting the customer's early launch requirements while maintaining assured delivery quality.



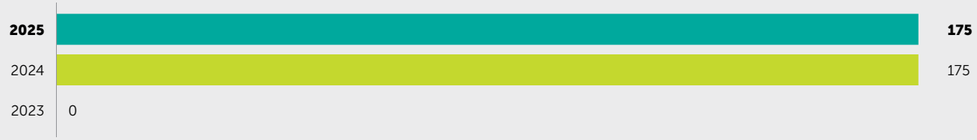
A mobile hydrogen refuelling station, under the MHRS, located at Presint 2, Putrajaya, Malaysia.

New Business

Capturing New Growth Opportunities

2025 Performance Metrics

Hydrogen - Matured Hydrogen Opportunities Achieved
(kilotonnes per annum)



Our Challenges and Opportunities

Market Context
Early-stage ecosystem development, policy momentum and emerging demand signalled opportunities to shape standards, develop reference projects and position hydrogen for future scale, while regulatory and offtake uncertainty required disciplined progression.

Strategic Response

- Delivered the MHRS foundational pilot project to establish technical and operational readiness in collaboration with government agencies and partners.
- Phased and disciplined capital deployment for large-scale hydrogen projects amid regulatory and offtake uncertainty.
- Advanced bilateral engagements and tender-based opportunities to develop offtake pathways in selected markets.
- Strengthened partnerships across the hydrogen value chain and assessed use cases including refinery integration and bunkering applications.
- Maintained a demand-led, commercially grounded approach while engaging stakeholders to support policy alignment across Asia Pacific.

Impact

- Reduced delivery risk for future hydrogen projects.
- Improved readiness for commercialisation as demand, infrastructure and policy frameworks mature.
- Reduced exposure to regulatory and offtake risks through phased investment and demand-linked development.
- Strengthened positioning to support the development of a viable regional hydrogen ecosystem, leveraging PETRONAS' gas and carbon capture and storage (CCS) strengths alongside emerging green hydrogen opportunities.

Our Outlook

Short-term
We remain focused on maturing and securing hydrogen offtake pathways to strengthen project bankability and support progression towards Final Investment Decision. Our near-term efforts will continue to centre on advancing offtake engagements and completing Front End Engineering Design (FEED) studies for green hydrogen and ammonia projects. We will also leverage strategic partnerships and relevant policy mechanisms to support investment de-risking and execution readiness.

Medium- to Long-term
As infrastructure and regulatory frameworks continue to evolve, we aim to enable accelerated project execution and support the transition from development to scalable deployment.

Green Mobility

Expanding a Regional Electric Vehicle Charging Network

Gentari continued to scale its green mobility platform by expanding its regional electric vehicle (EV) charging network to more than 1,100 charging points across Malaysia, Thailand and India. Deployment focused on selected highways, urban centres and high-utilisation commercial locations, improving charging availability in priority areas and supporting the broader electrification of mobility across markets.

Charging deployment during the year was progressed through partnerships with site owners, fleet operators and mobility stakeholders. These collaborations supported a disciplined approach to network expansion, with emphasis on operational reliability, interoperability and readiness to meet increasing EV demand as adoption evolves.

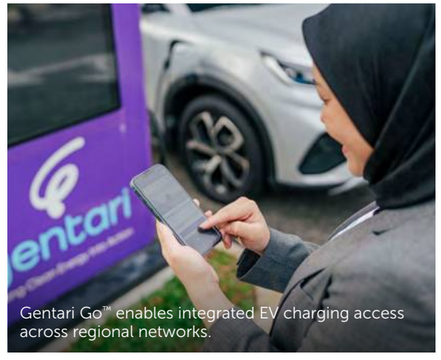


Gentari EV charging point at PETRONAS Bandar Baru Ayer Hitam, Johor, Malaysia.

Enabling Cross-Border Electric Vehicle Roaming through Gentari Go™

Seamless cross-border charging access is an important enabler for EV adoption and regional connectivity. Through Gentari Go™, we enabled cross-border EV roaming across Malaysia, Thailand, Singapore and India, providing users with access to approximately 10,000 charging points via roaming partnerships with multiple charge point operators.

By integrating participating charging networks into a single digital interface, Gentari Go™ improves interoperability across operators and markets, and enhances user experience for EV drivers travelling across borders. The platform complements physical charging infrastructure by simplifying access, supporting cleaner mobility adoption and the practical use of EVs across selected regional markets.



Gentari Go™ enables integrated EV charging access across regional networks.

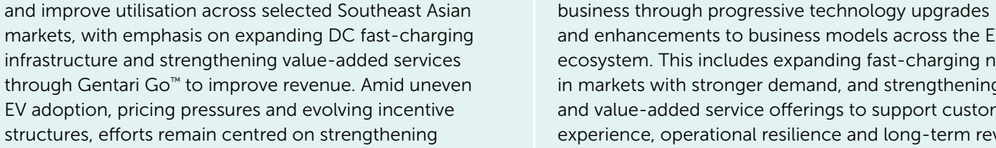
New Business

Capturing New Growth Opportunities

2025 Performance Metrics

Green Mobility

(units of charging points globally*)



Note:
** Gentari's growing global network of charging points is now available in Malaysia, Thailand and India.*

Our Challenges and Opportunities

Market Context

Diverging EV adoption trends, evolving charging technologies and changing customer expectations created opportunities to focus deployment where utilisation, customer experience and interoperability deliver the most value.

Strategic Response

- Prioritised Direct Current (DC) fast-charging deployment in selected Southeast Asian markets, particularly Malaysia and Thailand.
- Enhanced regional interoperability and user experience through Gentari Go™.
- Developed value-added digital services to improve utilisation and revenue per charging point.

Impact

- Strengthened utilisation rates and improved customer retention.
- Diversified revenue streams across the charging network.
- Positioned Gentari's green mobility portfolio for sustainable growth as EV adoption matures across the region.

Our Outlook

Short-term

We continue to adopt disciplined deployment strategies and improve utilisation across selected Southeast Asian markets, with emphasis on expanding DC fast-charging infrastructure and strengthening value-added services through Gentari Go™ to improve revenue. Amid uneven EV adoption, pricing pressures and evolving incentive structures, efforts remain centred on strengthening operational efficiency and ensuring charging infrastructure keeps pace with higher-voltage and fast-charging vehicle requirements.

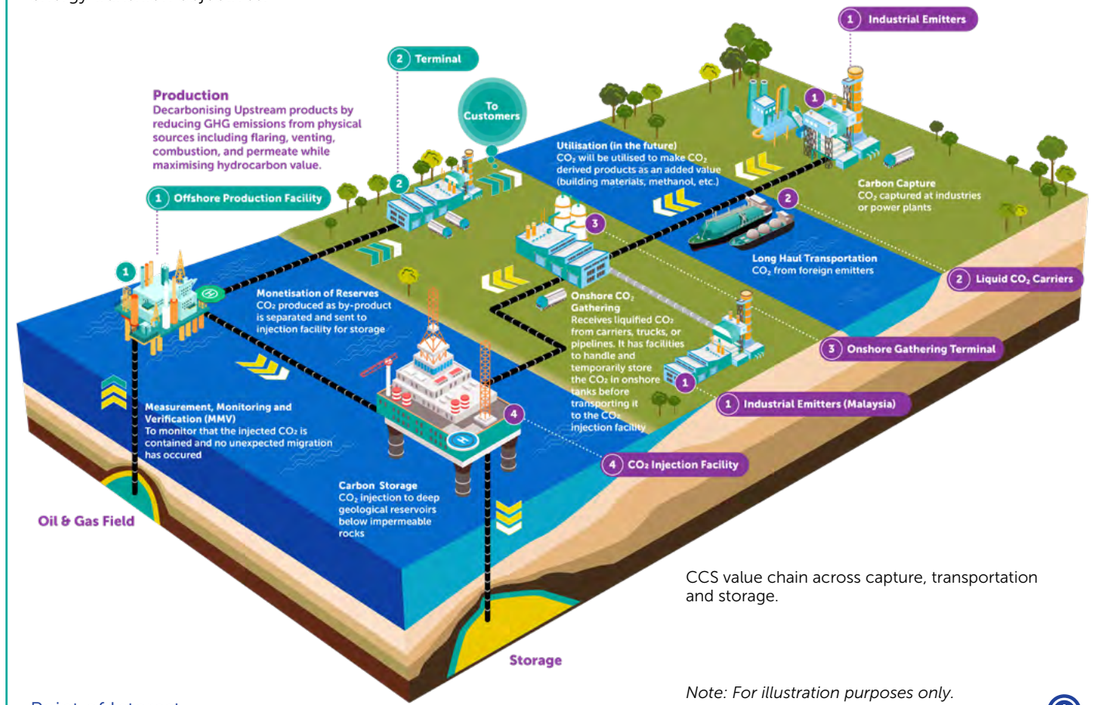
Medium- to Long-term

Focus remains on future-proofing the charging business through progressive technology upgrades and enhancements to business models across the EV ecosystem. This includes expanding fast-charging networks in markets with stronger demand, and strengthening digital and value-added service offerings to support customer experience, operational resilience and long-term revenue growth.

Carbon Capture and Storage

Malaysia's First Offshore Carbon Capture and Storage Permit Advances Duyong Storage Assessment

PETRONAS CCS Ventures (PCCSV) secured Malaysia's first offshore assessment permit for carbon capture and storage (CCS) under the newly enacted Carbon Capture, Utilization and Storage (CCUS) Act 2025, granted by the Malaysia Carbon Capture, Utilisation and Storage (MyCCUS) Agency. The permit gives PCCSV exclusive rights to conduct comprehensive offshore geological assessments in the Duyong storage site off Peninsular Malaysia for detailed studies to evaluate the site's potential as a permanent carbon dioxide (CO_2) storage location as part of the planned Southern CCS Hub. This initiative contributes to Malaysia's carbon management ecosystem and supports PETRONAS' role in enabling national and regional energy transition objectives.



CCS value chain across capture, transportation and storage.

Note: For illustration purposes only.

Point of Interest

The first Offshore Assessment Permit issued under the Carbon Capture, Utilization and Storage (CCUS) Act 2025 enables PETRONAS and our partners to systematically assess offshore geologic storage options, enhancing capabilities for long-term CO_2 storage in Asia Pacific while deepening understanding of CCS value chain coordination and commercial viability.

Key Milestones in Driving Southern CCS Hub Readiness for Regional Decarbonisation

PCCSV entered into a Key Principles Agreement (KPA) with TotalEnergies and Mitsui & Co. to enable coordinated technical studies and Front-End Engineering Design (FEED) for the Duyong offshore carbon storage site. The agreement brings together complementary technical, project development and carbon management expertise to firm up detailed evaluation of Duyong's suitability as a permanent carbon dioxide storage location. It supports progression to the next development phase for the Southern CCS Hub, strengthening its readiness to deliver integrated carbon storage solutions for regional industries.

New Business

Capturing New Growth Opportunities

Scaling Carbon Capture and Storage from Proof to Commercial Deployment

Our CCS initiatives progressed from capture technology readiness toward integrated, deployable and commercially relevant solutions. Collectively, these developments advance CCS from assessment and technical readiness toward structured development, positioning it as a future scalable infrastructure platform capable of supporting industrial decarbonisation while creating monetisation pathways aligned with regional carbon management demand.

Leading Malaysia's National Carbon Capture (NCC) Project

- Collaborated with key industry and technical partners to conduct a feasibility study.
- The National Carbon Capture (NCC) Project serves as a testbed to evaluate the technical feasibility and economic viability of carbon capture in the steel sector, supporting Malaysia's decarbonisation pathways under the New Industrial Master Plan 2030 (NIMP 2030).
- The project aims to establish an industrial reference case targeting approximately 200 tonnes of carbon dioxide capture per day from steelmaking operations. It establishes reference deployments for Membrane Box Contactor in Malaysia, building confidence for customers, partners, and future investments globally.
- The project contributes to advancing carbon capture, utilisation and storage (CCUS) solutions for hard-to-abate industries in Malaysia.

Advancing Integrated Carbon Capture Solutions with Gas Turbine Original Equipment Manufacturer (OEM)

- Technical discussions are ongoing with gas turbine OEMs to explore integrated concept designs combining carbon capture with power generation systems for offshore and onshore applications, including Floating Production, Storage and Offloading (FPSO) facilities, cogeneration, and retrofit configurations.
- The collaboration focuses on assessing how modular carbon capture solutions can be integrated into power generation systems to enable emissions reduction across hard-to-abate sectors, including broader industrial power applications.

Strengthened an Integrated CCUS Value Chain Article

- Linked CCUS capabilities across internal divisions and external partners to deliver end-to-end CCUS solutions for industrial customers.
- This integrated approach enhances monetisation potential, reduces execution complexity and differentiates PETRONAS as a single-solution provider for decarbonisation needs.

Secured First Revenue-Generating CCS Engagement in North America

- Completed a paid engineering study for Tourmaline Oil together with PETRONAS Energy Canada covering a capture capacity of approximately 160 tonnes of carbon dioxide per day.
- This engagement validates technology applicability in an international operating environment and provides a platform for further commercial expansion.

Our Challenges and Opportunities

Market Context

Malaysia's ambition to become a regional CCS hub, backed by the Carbon Capture, Utilization and Storage (CCUS) Act 2025 and progress in Liquefied Carbon Dioxide (LCO_2) shipping, presents a clear opportunity for PETRONAS to develop an integrated CCS value chain and grow its participation in emerging international carbon management markets, including Canada.

Strategic Response

- Conducted independent technical validation through Energex and established structured project governance.
- Maintained active engagement with relevant regulators and industry stakeholders to support regulatory approvals and funding pathways.
- Advanced CCS activities to align with emerging regulatory frameworks in Peninsular Malaysia while maintaining progress on national initiatives.
- Leveraged PETRONAS' convening role to build strategic collaborations and advance cross-border CCS value chains.

Impact

- Validated CCS technology readiness for pilot deployment.
- Strengthened regulatory readiness and project development pathways through sustained stakeholder engagement.
- Secured Malaysia's first CCUS Offshore Assessment Permit for the Duyong storage site, supporting future CCS projects and LCO_2 shipping opportunities.
- Advanced early international positioning through the Canadian engineering study.

Our Outlook

Short-term

Our focus remains on advancing CCS solutions towards Final Investment Decision readiness for the region's first-of-its-kind CCS project. These efforts support Malaysia's ambition to become a regional CCS hub while strengthening the foundations for a global CCS business portfolio.

Medium- to Long-term

We aim to strengthen PETRONAS' position as a leading CCS hub for Malaysia and the region while expanding a global CCS business portfolio through cross-border projects, strategic partnerships and integrated decarbonisation solutions.

New Business

Capturing New Growth Opportunities

> *At PETRONAS, advancing a lower-carbon future is integral to how we operate. Driven by our strong commitment in expanding innovation ecosystem, technology remains the primary catalyst in our journey to Net Zero Carbon Emissions by 2050."*
>
> **Ir. Ts. Mohd Yusri Mohamed Yusof**
> *Senior Vice President, Projects, Engineering and Technology*

Research and Development Investment

Research and development (R&D) enables PETRONAS to address operational challenges, improve performance and prepare technologies for future deployment. R&D investments are allocated across Technology Readiness Levels to advance ideas from early research to commercial deployment across key technology clusters.

In 2025, the Group's R&D portfolio reflected a focused and strategic commitment to innovation that supports decarbonisation, unlocks climate-related opportunities, drives business growth and strengthens long-term competitiveness.

The largest allocation was to CCUS, highlighting its role as a key innovation pillar for emissions reduction, regulatory readiness and the development of new lower-carbon value streams.

Continued investment in Advanced Materials & Subsea Technology and Specialty Chemicals Technology further advance technology-driven innovation, enhancing asset performance, improving operational efficiency and creating value across the energy value chain.

Overall, lower-carbon technologies account for around 60 per cent of the Group's total R&D portfolio, which includes CCUS, Fluid Technology Solutions, Hydrogen, Renewable Energy and Renewable Oil. This portfolio positions PETRONAS to capture emerging climate-related opportunities while supporting a resilient and sustainable energy future.

Net Zero Carbon Emissions

Pathway to Net Zero

Focus Areas

The delivery of PETRONAS' Net Zero Carbon Emissions (NZCE) by 2050 Pathway reflects varying national circumstances, including differences in economic development, energy security priorities, infrastructure readiness and social considerations. Progress will depend on a balanced and pragmatic approach, aligned with evolving technical, regulatory and economic conditions.

To advance towards our NZCE by 2050 commitment, we focus on reducing emissions across operations through a combination of improving energy efficiency, minimising flaring and venting, and electrifying assets where viable. Going forward, we intend to complement these efforts with carbon capture and storage (CCS) solutions, as well as investments in nature-based and technology-driven approaches to address residual emissions.

> *We treat sustainability as a core enabler of business execution, guiding how we balance near-term energy demands with disciplined progress on climate, nature and just transition priorities. Guided by our Sustainability Approach, we embed sustainability considerations into investment appraisal, capital allocation, portfolio planning and risk review. This approach allows us to better anticipate long-term risks and opportunities and to make decisions that enhance resilience for the future."*
>
> **Charlotte Wolff-Bye**
> *Vice President and Group Chief Sustainability Officer*

Zero Routine Flaring and Venting

Flaring and venting reduction is driven through targeted operational improvements across upstream assets. Flare gas recovery systems capture and reuse gas that would otherwise be lost, while increased compressor capacity improves gas handling and reduces the need for flaring. Conversion of vented gas into flared and recoverable streams further limits methane emissions. These measures collectively reduce carbon and methane emissions from upstream operations.

Energy Efficiency

Energy efficiency improvements strengthen operational performance across our assets. Initiatives include optimising plant operations, applying digital solutions and enhancing process and equipment efficiency, including heat recovery and performance optimisation, enabling greater output with lower energy consumption.

Electrification

Electrification reduces emissions from on-site combustion by replacing fossil fuel-based energy with lower-carbon electricity where feasible. This involves asset modifications, supporting infrastructure development and the integration of renewable energy sources to power operational activities.

Carbon Capture and Storage

CCS solutions address emissions that cannot be eliminated through operational improvements alone. Carbon dioxide from selected high-emission assets is captured and stored securely in geological formations, supported by subsurface expertise, existing infrastructure and partnerships across the CCS value chain.

For a detailed breakdown of our Net Zero Carbon Emissions by 2050 Pathway and progress, refer to pages 97 to 113.

Net Zero Carbon Emissions

Pathway to Net Zero

Zero Routine Flaring and Venting

Lowering Flare Emissions through Acid Gas Removal Unit Optimisation

PETRONAS implemented an Acid Gas Removal Unit (AGRU) optimisation initiative across selected Upstream fields in Peninsular Malaysia to reduce flaring by optimising existing operating conditions, increasing carbon dioxide (CO_2) export, minimising hydrocarbon losses to permeate flaring while maintaining gas quality and supply reliability. Operational trials confirmed that normal AGRU operations, even during high-CO_2 conditions, delivered optimal emissions and production outcomes. The initiative achieved an estimated annual emissions reduction of approximately 0.16 million tonnes of carbon dioxide equivalent ($MtCO_2e$), alongside lower hydrocarbon losses and incremental gas sales, demonstrating the value of targeted optimisation of existing assets in supporting PETRONAS' NZCE by 2050 commitment.

Electrification

Electrifying Operations to Lower Direct Emissions

PETRONAS Dagangan Berhad (PDB) strengthened its decarbonisation efforts through the continued rollout of solar power across its retail network. During the year, 121 PETRONAS stations were newly solarised, bringing the cumulative total to 303 sites nationwide. This represents a strong uplift in new installations compared to the previous year, underpinned by improved planning and increased execution momentum.

Looking ahead, PDB remains on track to further scale solar adoption, with a target of more than 450 solarised stations by 2030. This initiative supports the reduction of operational emissions while advancing the transition towards cleaner, more energy-efficient retail operations across the network.

Energy Efficiency

Strengthening Energy Efficiency Across Assets

Structured Energy Trending and Performance Assessment for Combustion Engine (SETPACE), an in-house digital tool developed by the Upstream business, enables a structured and data-driven approach to reducing combustion-related emissions. SETPACE was initially piloted by PETRONAS Carigali across three sites in 2022 and subsequently replicated both domestically and internationally following strong results. By 2023, it was integrated into fuel gas forecasting processes across all PETRONAS Carigali-operated sites, resulting in an estimated reduction of approximately 1.21 $MtCO_2e$ in greenhouse gas emissions in 2024.

Additionally, SETPACE achieved a 9 per cent reduction in energy intensity across 38 PETRONAS Carigali-operated facilities from a 2021 baseline, delivering energy savings of approximately 1,680,000 gigajoules (GJ) through identified reduction opportunities. This is equivalent to powering approximately 178,000 Malaysian households for one year, based on an average annual electricity consumption of about 2,620 kilowatt-hours (kWh) per household. These efforts were further expanded, enabling replication of the solution across three additional non-operated fields.

For further information on PETRONAS' efforts to achieve NZCE by 2050 targets, please refer to Delivering Net Zero, Metrics and Targets on page 102.

2025 Performance Metrics

We track emissions performance across operational control and equity share boundaries to support delivery of PETRONAS' NZCE by 2050 Pathway targets. This enables consistent oversight of our long-term climate actions and informs portfolio and capital allocation decisions, ensuring continued alignment with our Energy Transition Strategy and net zero commitment.

Progress is driven through four priority abatement levers that focus on reducing operational emissions while enhancing portfolio resilience. These levers emphasise practical and scalable actions across our assets to lower greenhouse gas emissions and support steady advancement towards NZCE by 2050.

OC *Operational Control* ES *Equity Share* *Achieved*

		2025 Performance
Short-term Targets (2024-2025)		
GHG emissions from Malaysia operations	**49.50** million tonnes CO_2e cap for Malaysia operations	OC **47.46** million tonnes CO_2e
Methane emissions – PETRONAS Group-wide natural gas value chain	**50** per cent reduction by 2025 against 2019 baseline	OC **80** per cent reduction (target exceeded)
Medium-term Targets (2030)		
GHG emissions from PETRONAS Group-wide	**25** per cent reduction by 2030 against 2019 baseline	ES **4** per cent
Methane emissions – Malaysia's natural gas value chain	**50** per cent reduction by 2030 against 2019 baseline	OC **80** per cent reduction (target exceeded)
Methane emissions – PETRONAS Group-wide natural gas value chain	**70** per cent reduction by 2030 against 2019 baseline	OC **80** per cent reduction (target exceeded)
Long-term Target (2050)		
Net zero carbon emissions by 2050	ES	

The short-term target of capping GHG emissions at 49.5 million tonnes CO_2e by 2024 excludes Maritime, Corporate and Others, as more than 90 per cent of GHG emissions are contributed by activities within Upstream, Gas and Downstream Malaysia operations.

2024 and 2025

Short-term Targets - Achieved

In the short term, we focused on stabilising emissions from our existing portfolio, especially in Malaysia, and establishing a credible starting point for our NZCE by 2050 Pathway. Having met these milestones, we now focus on deepening abatement efforts in the medium-term and aligning long-lived assets with outcomes to meet our NZCE by 2050 target.

2030

Medium-term Targets - Progressing

In the medium term, we will focus on delivering sustained reductions in line with our 2030 GHG targets. This includes improving emissions performance across PETRONAS Group-wide operations, advancing methane emissions reduction across the natural gas value chain and aligning asset and operational decisions with measurable decarbonisation outcomes.

2050

Long-term Target

NET ZERO 2050

Looking towards 2050, our NZCE target guides portfolio shaping, asset management and capital decisions to ensure PETRONAS remains resilient and relevant in a lower-carbon energy system while continuing to deliver reliable and affordable energy.

Advancing Sustainable Value Across Our Operations

In addition to our NZCE by 2050 efforts, we address a broader set of sustainability material topics that shape our long-term resilience and value creation. The Sustainability Performance section of this report presents key highlights of each material topic detailing our approach, key challenges, opportunities, mitigation actions and outlook.

Group Financial Results and Position

In FY2025, PETRONAS demonstrated resilience in a more challenging external environment by sustaining strong financial discipline, reliable operations and continued progress on our energy transition priorities. We focused on protecting value through disciplined cost and capital management, while selectively investing to strengthen our portfolio and long-term competitiveness. At the same time, we advanced decarbonisation efforts and partnerships across our value chain, while continuing to support energy security for our customers. Looking ahead, we will remain anchored on value preservation and value creation, building a more resilient business and enabling a just and responsible energy transition."

Liza Mustapha
Executive Vice President and Group Chief Financial Officer

Analysis of Financial Results

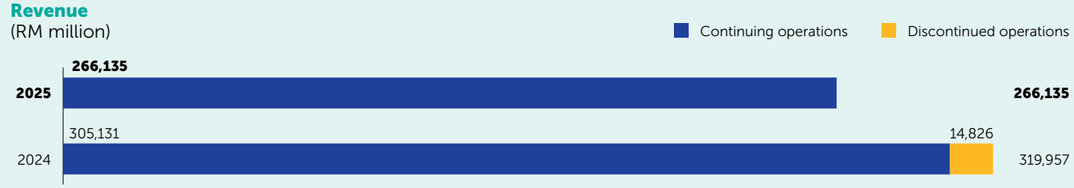
Consolidated Statement of Profit or Loss

In RM million	Financial Year ended 31 December 2025	2024
Continuing operations		
Revenue	**266,135**	305,131
Cost of revenue	**(162,516)**	(187,892)
Gross profit	**103,619**	117,239
Selling and distribution expenses	**(8,651)**	(9,950)
Administration expenses	**(16,507)**	(17,993)
Net impairment losses/write-off[1]	**(2,618)**	(4,882)
Other expenses	**(8,603)**	(3,000)
Other income	**7,406**	6,016
Operating profit	**74,646**	87,430
Financing costs	**(7,350)**	(5,878)
Share of profit after tax and non-controlling interests of equity accounted associates and joint ventures	**195**	581
Profit before taxation from continuing operations	**67,491**	82,133
Tax expense	**(22,101)**	(26,348)
Profit for the year from continuing operations	**45,390**	55,785
Discontinued operations[2]		
Loss for the year from discontinued operations, net of tax	**-**	(693)
PROFIT FOR THE YEAR	**45,390**	55,092
Profit/(Loss) attributable to:		
Shareholders of the Company		
From continuing operations	**40,775**	49,996
From discontinued operations	**-**	(892)
	40,775	49,104
Non-controlling interests		
From continuing operations	**4,615**	5,789
From discontinued operations	**-**	199
	4,615	5,988
PROFIT FOR THE YEAR	**45,390**	55,092

Consolidated Statement of Other Comprehensive Income

In RM million	Financial Year ended 31 December 2025	2024
PROFIT FOR THE YEAR	**45,390**	55,092
Other comprehensive income/(loss)		
Items that will not be reclassified subsequently to profit or loss		
Net changes in fair value of equity investments at fair value through other comprehensive income (OCI)	**17**	(136)
Items that may be reclassified subsequently to profit or loss		
Net movements from exchange differences	**(18,781)**	(10,663)
Cash flow hedge	**1,078**	(1,120)
Others	**(100)**	437
Total other comprehensive loss for the year, net of tax	**(17,786)**	(11,482)
TOTAL COMPREHENSIVE INCOME FOR THE YEAR	**27,604**	43,610
Total comprehensive income/(loss) attributable to:		
Shareholders of the Company		
From continuing operations	**25,656**	39,929
From discontinued operations	**-**	(892)
	25,656	39,037
Non-controlling interests		
From continuing operations	**1,948**	4,374
From discontinued operations	**-**	199
	1,948	4,573
TOTAL COMPREHENSIVE INCOME FOR THE YEAR	**27,604**	43,610

Revenue
(RM million)

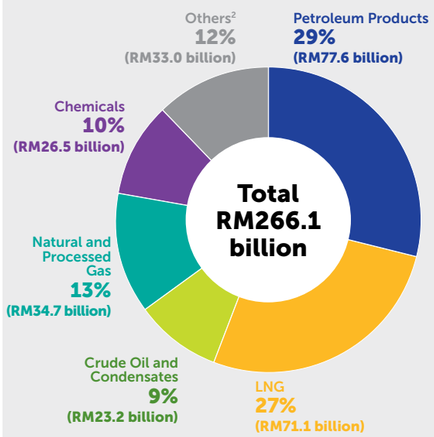


Note:
1. Excludes well costs and includes loss on remeasurement of financial assets measured at amortised cost.
2. Discontinued operations relate to disposal of Engen Group.

Group Financial Results and Position

Revenue by Products

The Group's total revenue was RM266.1 billion, primarily contributed by petroleum products and liquefied natural gas (LNG) which accounted for 29 per cent and 27 per cent of revenue, respectively.



Petroleum Products

2025	2024¹
77.6	103.9

LNG

2025	2024¹
71.1	76.4

Crude Oil and Condensates

2025	2024¹
23.2	35.8

Natural and Processed Gas

2025	2024¹
34.7	40.0

Chemicals

2025	2024¹
26.5	29.8

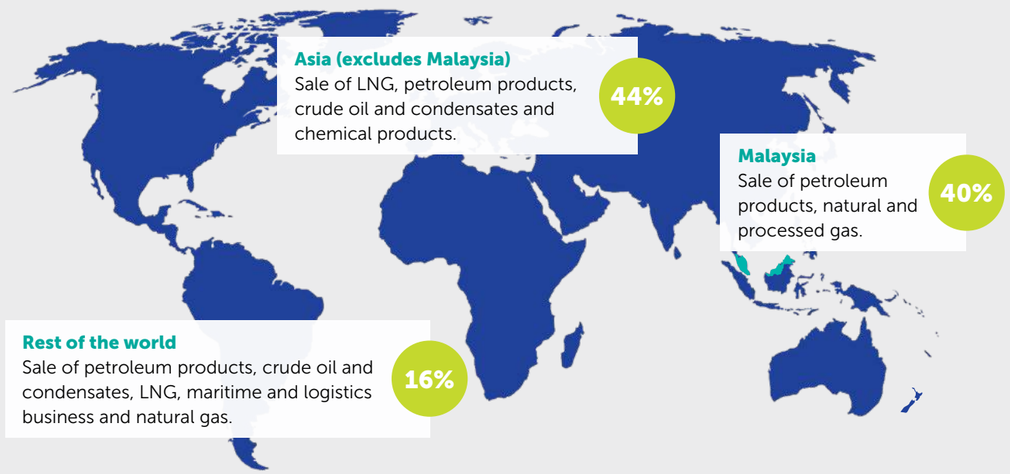
Others²

2025	2024¹
33.0	34.1

Note:
1. All financial and operational results comprise continuing and discontinued operations.
2. Others comprise shipping services, net trading gain, rental of properties, rendering of services, interest income, etc.

Revenue by Geographical Segments[1]

Revenue from outside Malaysia, which included export and international sales, accounted for 60 per cent of the Group's revenue, demonstrating PETRONAS' strong global presence.

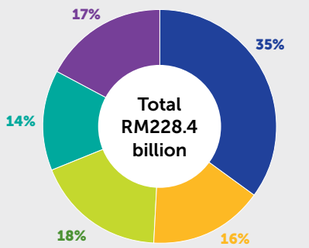


Note:
1. Revenue by geographical segments are populated according to the customers' location.

Group Cost

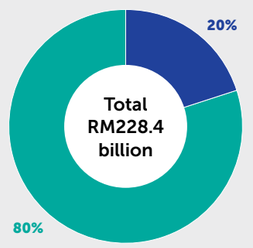
- Group cost stood at RM228.4 billion, a decrease of RM43.4 billion or 16 per cent as compared to the prior year of RM271.8 billion.
- The reduction in costs is driven largely by operational enhancements, discipline optimisation efforts and sharper portfolio prioritisation to remain robust in lower-priced environment.
- Domestic operations accounts for 80 per cent of the Group's total costs to support Oil and Gas Services and Equipment (OGSE) activities in Malaysia.

By Category



- Product Costs
- Tax Expenses, Sales Tax and Duties and Cash Payments
- Non-Cash Items (Depreciation, Amortisation, Impairment, etc.)
- Production and Transportation Expense, Purchased Services, Materials and Supplies
- Others (HR Cost, Rental, Utilities, Finance Cost, etc.)

By Geography



- Malaysia
- Outside Malaysia

Note:
Group cost above relate to costs charged to Income Statement only.

Earnings by Business

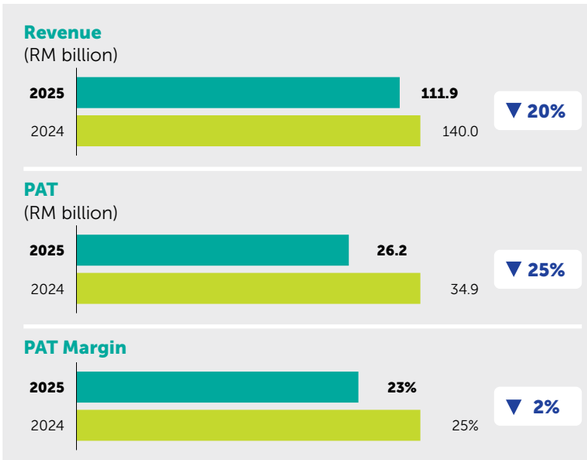
Notwithstanding the challenging market conditions, the financial results for 2025 was supported by the businesses' execution of operational and commercial excellence, leveraging the strength of our integrated value chain.

The Group operated three core businesses in FY2025: Upstream, Gas and Maritime, and Downstream. Corporate and Others, which complement our core businesses, comprises primarily the renewables, hydrogen and green mobility businesses as well as property business.

Upstream

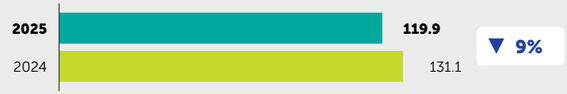
- Upstream recorded total daily average production in FY2025 of 2,423 thousand barrels of oil equivalent (boe) per day, a decrease from 2,451 thousand boe in FY2024, mainly due to lower crude oil production from international operations.
- Upstream recorded lower revenue in line with lower average realised prices, lower crude oil sales volume and impact from foreign exchange.
- Lower PAT of RM26.2 billion compared to RM34.9 billion in FY2024 in line with lower revenue partially offset by lower operating expenses following realisation of optimisation efforts and lower tax expense.

Refer to Upstream's operational performance in FY2025 on page 57.

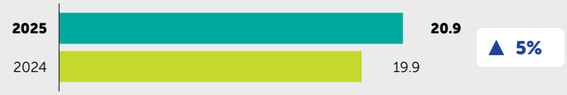


Group Financial Results and Position

Revenue
(RM billion)



PAT
(RM billion)



PAT Margin



Gas and Maritime

- Achieved our highest-ever LNG sales of 36.6 million metric tonnes, equivalent to 563 LNG cargoes, underpinned by sustained production and enhanced trading optimisation, with deliveries reaching customers worldwide.
- Malaysia average sales gas volume during the year was 2,922 million standard cubic feet per day (MMscfd), decreased from 3,050 MMscfd in FY2024 following lower offtake from power and non-power sectors in Peninsular Malaysia.
- Revenue decreased to RM119.9 billion from RM131.1 billion in FY2024 mainly due to lower average realised prices from LNG and processed gas, impact from foreign exchange, partially offset by higher LNG sales volume.
- Despite lower revenue, Gas and Maritime business recorded a higher PAT of RM20.9 billion against RM19.9 billion in FY2024 primarily driven by net impairment reversal on assets, partially negated by lower net product margin.

Refer to Gas and Maritime's operational performance in FY2025 on page 61.

Downstream

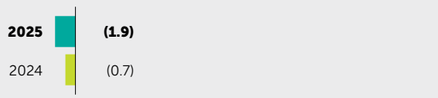
- Downstream Overall Equipment Effectiveness (OEE) for FY2025 improved to 92.6 per cent, from 91.2 per cent in FY2024.
- Petroleum products sales volume stood at 209.4 million barrels, lower compared to prior year of 229.4 million barrels primarily due to discontinued operation impact.
- Chemical products sales volume was 10.5 million metric tonnes, higher by 0.4 million metric tonnes against last year.
- Downstream revenue of RM120.0 billion was lower than last year primarily due to lower average realised prices, discontinued operations impact and foreign exchange movement.
- The business also recorded LAT of RM1.9 billion against LAT of RM0.7 billion in FY2024 mainly due to lower petroleum and chemical products margin, and impact from foreign exchange.

Refer to Downstream's operational performance in FY2025 on page 64.

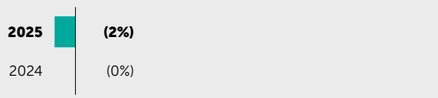
Revenue
(RM billion)



LAT
(RM billion)



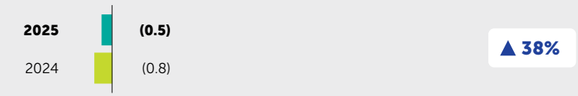
LAT Margin



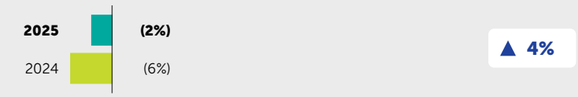
Revenue
(RM billion)



LAT
(RM billion)



LAT Margin



Corporate and Others

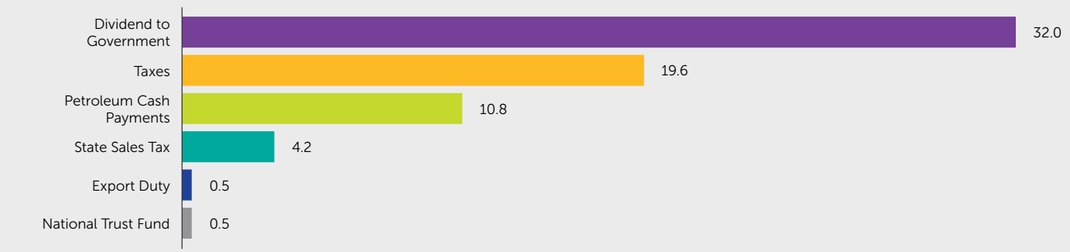
- Corporate and Others business recorded revenue of RM13.2 billion as compared to revenue of RM14.0 billion in FY2024 largely contributed by lower fund investment income.
- The business also recorded LAT of RM0.5 billion as compared to LAT of RM0.8 billion in the previous year primarily driven by movement from derivative losses to gains partially offset with higher financing costs arising from bond issuance during the year and impact from foreign exchange on net assets.
- In 2025, KLCCP Stapled Group delivered a record-high financial performance, with revenue of RM1.7 billion, being one of the major contributors to this segment and affirming the strength of its diversified business across all its high-quality assets.

Refer to KLCCP Integrated Report 2025.

Contributions to Federal and State Governments, and the National Trust Fund

- We remain committed to delivering shareholder returns while supporting nation-building efforts.
- In 2025, total contributions to the government amounted to RM67.6 billion, comprising dividends, taxes and other statutory payments, bringing the cumulative total to approximately RM1.6 trillion as of 2025.

Contributions to Federal and State Governments, and the National Trust Fund
(RM billion)



Scan the QR code to visit PETRONAS Group Financial Operational Report on PETRONAS' Global website.

Group Financial Results and Position

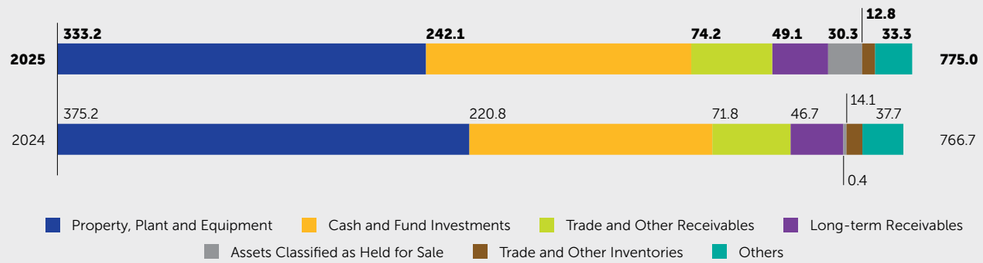
Analysis of Financial Position

Consolidated Statement of Financial Positions

In RM million	As at 31 December 2025	2024
ASSETS		
Property, plant and equipment	**283,923**	327,356
Investment properties and land held for development	**18,939**	16,716
Investments in associates and joint ventures	**11,558**	12,219
Intangible assets	**30,332**	31,175
Long-term receivables	**49,111**	46,690
Fund and other investments	**18,698**	16,633
Deferred tax assets	**21,661**	25,459
TOTAL NON-CURRENT ASSETS	**434,222**	476,248
Trade and other inventories	**12,805**	14,096
Trade and other receivables	**74,235**	71,748
Fund and other investments	**19,046**	15,698
Cash and cash equivalents	**204,375**	188,476
	310,461	290,018
Assets classified as held for sale	**30,270**	407
TOTAL CURRENT ASSETS	**340,731**	290,425
TOTAL ASSETS	**774,953**	766,673
EQUITY		
Share capital	**100**	100
Reserves	**448,208**	451,115
Total equity attributable to shareholders of the Company	**448,308**	451,215
Non-controlling interests	**53,777**	55,395
TOTAL EQUITY	**502,085**	506,610
LIABILITIES		
Borrowings	**108,137**	90,837
Deferred tax liabilities	**9,527**	13,029
Other long-term liabilities and provisions	**63,122**	64,766
TOTAL NON-CURRENT LIABILITIES	**180,786**	168,632
Trade and other payables	**65,204**	67,156
Borrowings	**13,466**	20,060
Taxation	**2,300**	4,064
	80,970	91,280
Liabilities classified as held for sale	**11,112**	151
TOTAL CURRENT LIABILITIES	**92,082**	91,431
TOTAL LIABILITIES	**272,868**	260,063
TOTAL EQUITY AND LIABILITIES	**774,953**	766,673

Total Assets
(RM billion)

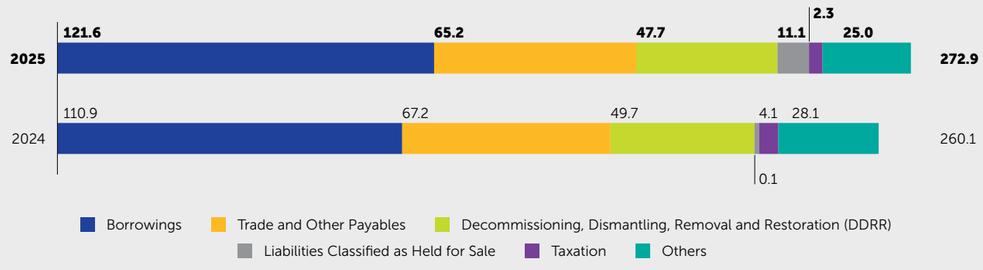
Total assets increased to RM775.0 billion as at 31 December 2025 against RM766.7 billion as at 31 December 2024 mainly due to net proceeds from bond issuance partially offset by impact from foreign exchange.



Note:
Property, Plant and Equipment also includes intangible assets, investment properties and land held for development.

Total Liabilities
(RM billion)

Total liabilities increased to RM272.9 billion as at 31 December 2025 as compared to RM260.1 billion as at 31 December 2024 mainly due to higher borrowing following from the bond issuance during the year.



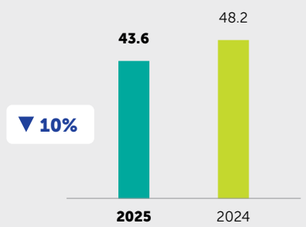
Group Financial Results and Position

Analysis of Cash Flows

Consolidated Statement of Cash Flow

In RM million	As at 31 December 2025	2024
Cash flows from operating activities		
Profit before taxation	**67,491**	82,133
Adjustments for non-cash items	**36,410**	35,879
Net changes in working capital	**(2,562)**	(754)
Cash generated from continuing operations	**101,339**	117,258
Interest income received	**11,390**	12,682
Interest expenses paid	**(4,871)**	(4,750)
Taxation paid, net of refund	**(22,695)**	(24,323)
Net cash generated from continuing operations	**85,163**	100,867
Net cash generated from discontinued operations	**-**	1,593
Net cash generated from operating activities	**85,163**	102,460
Net cash used in investing activities	**(32,036)**	(71,010)
Net cash used in financing activities	**(23,432)**	(46,365)
Net increase/(decrease) in cash and cash equivalents	**29,695**	(14,915)
Decrease/(Increase) in cash and cash equivalents restricted	**174**	(179)
Net foreign exchange differences	**(13,356)**	(5,718)
Cash and cash equivalents at beginning of the year	**186,197**	207,009
Cash and cash equivalents at end of the year	**202,710**	186,197
Cash and cash equivalents		
Cash, bank balances and deposits	**204,375**	188,476
Bank overdrafts	**-**	(10)
Classified as held for sale	**475**	45
Less: Cash and cash equivalents - restricted	**(2,140)**	(2,314)
	202,710	186,197

Free Cash Flow Analysis[1]
(RM billion)



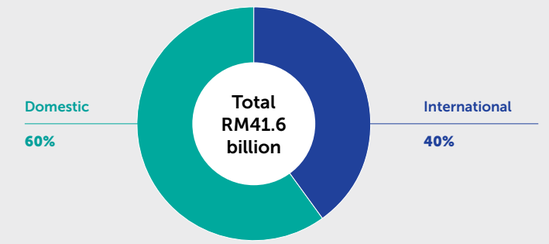
The Group generated free cash flow of RM43.6 billion during the year, a decrease of RM4.6 billion or 10 per cent as compared to RM48.2 billion in FY2024 mainly due to reduced cash generated from operations in line with lower operating profit.

Note 1: Free cash flow was derived from net cash generated from operating activities less cash CAPEX.

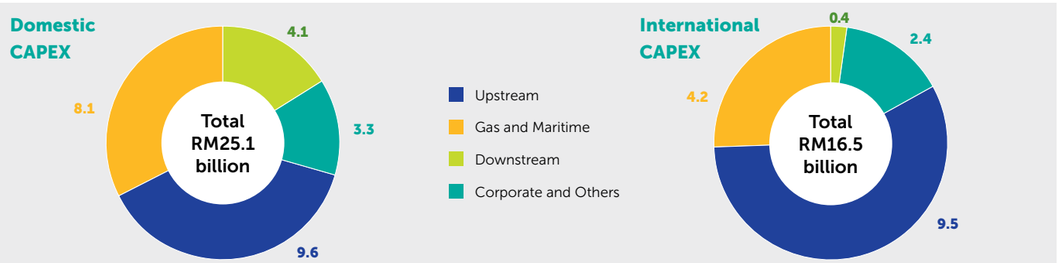
Capital Investments (CAPEX)

- Total Capital Investments (CAPEX) spent during the year of RM41.6 billion was lower by RM12.6 billion compared with RM54.2 billion in FY2024.
- 60 per cent of the CAPEX was spent in Malaysia amounting to RM25.0 billion, contributing to the growth of the Malaysian OGSE industry.
- Included in the Corporate and Others business segment is CAPEX incurred for Gentari Sdn Bhd (Gentari) which includes renewable energy, hydrogen and green mobility businesses.

Domestic and International Capital Investments Breakdown in FY2025

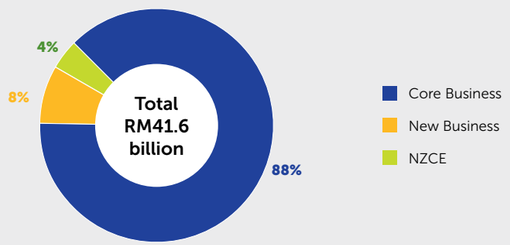


Capital Investments by Business and Geographical Segments in FY2025



Capital Investments by Energy Transition Strategy in FY2025

- PETRONAS remains steadfast in reinforcing capital discipline and managing carbon emission responsibly.
- During the year, 12 per cent of CAPEX was spent for New Business and Net Zero Carbon Emission (NZCE) projects.



Note:
Capital investments are based on cash, inclusive of costs of acquisition of subsidiaries and investments in associates and joint ventures.

Group Financial Results and Position

Capital Investment by Business

- Aligned with PETRONAS Energy Transition Strategy, we continue to strengthen our Core Business, pursue growth in capturing opportunities for New Business, and at the same time responsibly manage carbon emissions.
- As we progress in this journey, PETRONAS continues to uphold strict discipline in allocating capital resources to strike the right balance between investments in Core Business and New Business. PETRONAS plans to maintain an average CAPEX of approximately RM50.0 billion annually. We remain focused on scaling value-accretive energy investments and lower-carbon solutions to advance our energy transition agenda, without compromising operational integrity and safety standards.
- In FY2025, PETRONAS' overall CAPEX stood at RM41.6 billion, with 60 per cent attributable to activities in Malaysia. This includes significant investments in Malaysia to ensure energy security, affordability and sustainability mainly from PETRONAS' third Floating LNG facility, PETRONAS LNG Complex and Kasawari gas field.

Upstream

- CAPEX for Upstream business accounted for 46 per cent of the Group's total CAPEX with a total spending of RM19.1 billion, lower by RM8.9 billion as compared to FY2024. CAPEX for FY2025 was predominantly spent on exploration, development and production activities aimed at sustaining and growing production in Malaysia and international operations.
- About RM9.6 billion or 50 per cent of total Upstream CAPEX was spent domestically to intensify efforts to enhance the recovery rate of existing fields as well as the development of new fields.
- Meanwhile, a total of RM9.5 billion was allocated towards international portfolio investments, which include key countries such as Angola, Suriname and the United Arab Emirates (UAE).

Gas and Maritime

- Gas business accounted for 29 per cent of Group's total CAPEX and recorded a total spending of RM12.3 billion in FY2025. This is an increase of RM0.6 billion as compared to the previous year mainly allocated on domestic investments.
- CAPEX for FY2025 were predominantly spent domestically amounting to RM8.1 billion or 66 per cent mainly on the Sabah nearshore LNG facility, aimed at monetising gas resources in an optimised and more environmentally conscious manner. Internationally, the key investment was on the LNG project in Canada.
- In addition, CAPEX spending includes routine maintenance for asset safety and reliability, underscoring PETRONAS' commitment in upholding the highest integrity.

Downstream

- Downstream business' CAPEX of RM4.5 billion during the year accounted for 11 per cent of the Group's overall CAPEX allocation, comparable as compared to prior year.
- 91 per cent of the CAPEX spent during the year was mainly allocated towards domestic operational CAPEX including turnaround activities.

Corporate and Others

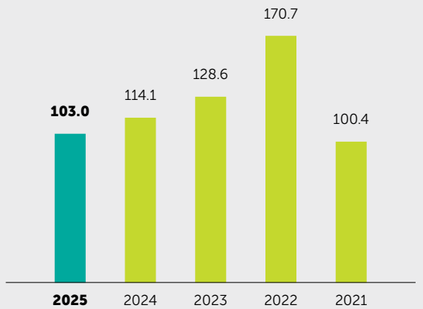
- CAPEX spent by businesses under Corporate and Others during the year amounted to RM5.7 billion with Gentari accounting for 44 per cent of the total spending.
- Gentari's significant investments on the forefront of renewables were mainly on the acquisition of wind and solar assets in India.

Five-Year Key Financial Indicators

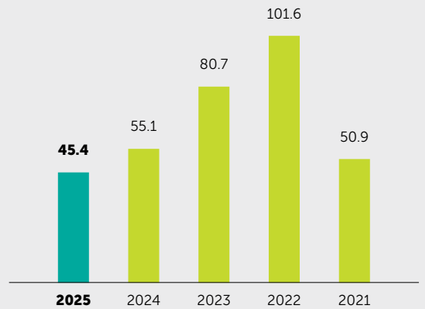
Revenue
(RM billion)



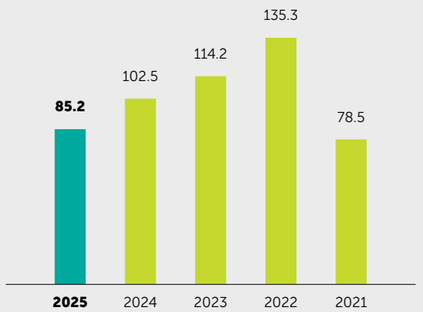
EBITDA
(RM billion)



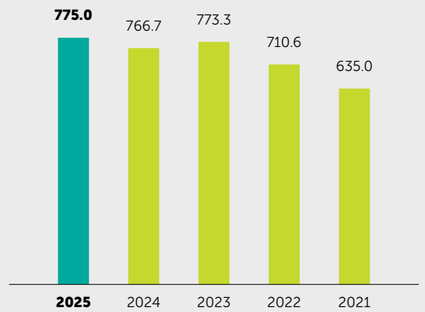
PAT
(RM billion)



Cash Flows from Operations
(RM billion)



Total Assets
(RM billion)

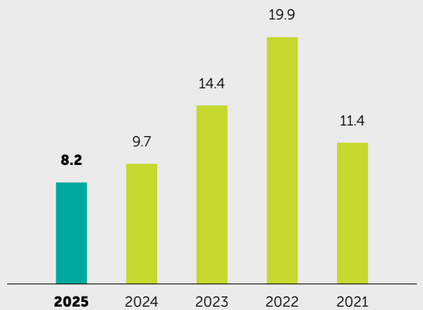


Group Financial Results and Position

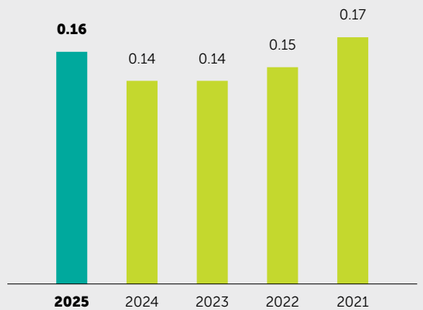
PAT Margin
(%)



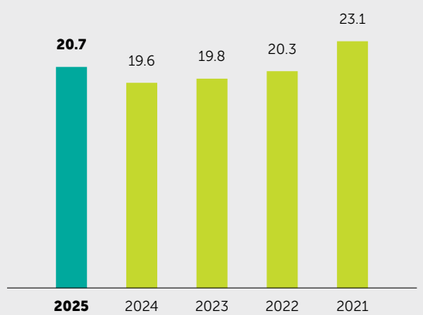
Return on Average Capital Employed (ROACE)
(%)



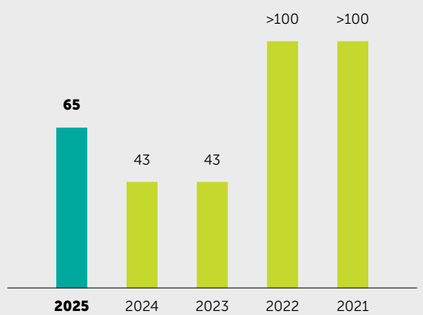
Debt/Assets Ratio
(x)



Gearing Ratio[1]
(%)



Dividend Payout Ratio
(%)



Note 1: Gearing ratio is calculated as adjusted total debt (total debt including financial guarantees) divided by adjusted total equity (total equity plus deferred tax liabilities and minus capitalised interest) and adjusted total debt. Gearing ratio for corresponding period has been restated to conform with this formula.

Sustainability Disclosure Index

Ipieca Sustainability Reporting Guidance for the Oil and Gas Industry		
Ipieca Disclosures		**Reference Page**
Governance and Business Ethics		
Governance and management systems	GOV-1: Governance approach	Corporate Governance at PETRONAS, pages 174-205
	GOV-2: Management systems	Creating Sustainable Value through Responsible Governance, pages 86-95 Delivering Net Zero, pages 96-113 Thriving with Nature, pages 114-131 Fostering a Just Transition, pages 132-173 Commitment to Governance at PETRONAS, pages 174-205
Business ethics and transparency	GOV-3: Preventing corruption	Corporate Governance at PETRONAS, pages 203-205
Climate Change and Energy		
Climate strategy and risk	CCE-1: Climate governance and strategy	Delivering Net Zero, pages 98-99
	CCE-2: Climate risk and opportunities	Risks Linked to Creating Value, page 33 Delivering Net Zero, pages 99-102
Technology	CCE-3: Lower carbon technology	PETRONAS Energy Transition Strategy, pages 16-19 Delivering Our Strategy, New Business, pages 65-80 Delivering Our Strategy, Net Zero Carbon Emissions, pages 81-82
Emissions	CCE-4: Greenhouse gas (GHG) emissions	Delivering Our Strategy, Net Zero Carbon Emissions, page 83 Delivering Net Zero, pages 102-103 Sustainability Key Performance Data
	CCE-5: Methane emissions	Delivering Net Zero, pages 104-105, 111-113 Sustainability Key Performance Data
Energy use	CCE-6: Energy use	Delivering Net Zero, pages 107-109 Sustainability Key Performance Data
Flaring	CCE-7: Flared gas	Delivering Net Zero, pages 106-107, 111-113 Sustainability Key Performance Data